

"If all banks set up branches and separate cells for women, there is no need to set up a separate women's bank."

We are in a new era of women entrepreneurship, as at times the nation's weakness can become its greatest strength.

To strive on the route and uphold the momentum, small and medium businesses have the potential and can create such dimension to reduce poverty to a satisfactory level.

"However, if the risks are minimised, the SME growth can bring in a new era of dimension, employing a lot of people and encouraging economic growth," and we at Dun & Bradstreet Rating Agency continue to support, assess and monitor a "perfect growth".

The financial sector is probably amongst the fastest growing segments of most economies. Because of the very nature of the industry, special attention is warranted for improving good governance not merely for domestic efficiency and better flow of international finance but also to avert contagion effects and systemic risks. The opacity, illiquidity, informational asymmetry, and coordination problems aggravate the agency issue in this sector thus calling for substantial regulation and supervision. The control architecture prescribed and supported by several multilateral organisations appears to bank on market oriented mechanisms to resolve the governance issues.

For each of us to make our contribution, for each of us to work in every way we cannot only for our own personal betterment — although that comes in an open society like ours — but to work for the common good, to work for our nation, and to work for a world that is worthy of our dreams. The history of the 21st century will be written in Asia.

Source: The Daily Star, Tuesday, August 2, 2011

Answer of True-False									
1	2	3	4	5	6	7	8	9	10
False	True	True	True	False	True	False	True	True	False

Answer of Fill in the Blanks				
1	2	3	4	5
Profits or losses	Entrepreneur	Key	Success	Foresight

Answer of Fill in the Blanks				
6	7	8	9	10
Leader	initiative	Money	Precondition	Red traipses

Answer of MCQ									
1	2	3	4	5	6	7	8	9	10
C	C	C	D	D	D	D	A	D	D

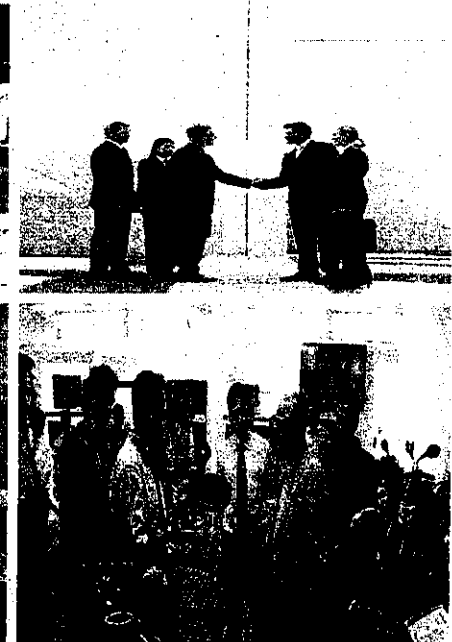
Chapter 06

Forms of Business Organizations

Learning Objectives

After studying this chapter, you should be able:

- To know the concepts of organization
- To define business organization
- To identify the characteristics of a successful business organization
- To discuss the functions of a business organization
- To identify the scope of business organization
- To find out the factors considering business organization
- To identify the major functions of business in Bangladesh



Source: Internet

Chapter Contents

- | | |
|--|---|
| 6.1 Business Organization | 6.8.1.2 Characteristics of Sole Proprietorship Business |
| 6.2 Characteristics of a Business Organization | 6.8.1.3 Benefits of Sole Proprietorship Business |
| 6.3 Objectives of a Business Organization | 6.8.2.1 Definition of Partnership Business |
| 6.4 Key Elements of a Business Organization | 6.8.2.2 Characteristics or Features of Partnership Business |
| 6.5 Importance of Business Organization | 6.8.3.1 Definition of Joint Stock Company |
| 6.6 Factors to be considered for Starting a Business | 6.8.3.2 Features of Joint Stock Company |
| 6.7 Functions of Business Organization | 6.8.4.1 Definition of Cooperative Society |
| 6.8 Forms of Business Organizations | 6.8.4.2 Features of Cooperative Society |
| 6.8.1.1 Definition of Sole Proprietorship Business | 6.8.5.1 Definition of State Enterprise |
| | 6.8.5.2 Features of State Enterprise |
| | 6.8.6.1 Definition of Business Combination |
| | 6.8.6.2 Objectives of Business Combination |

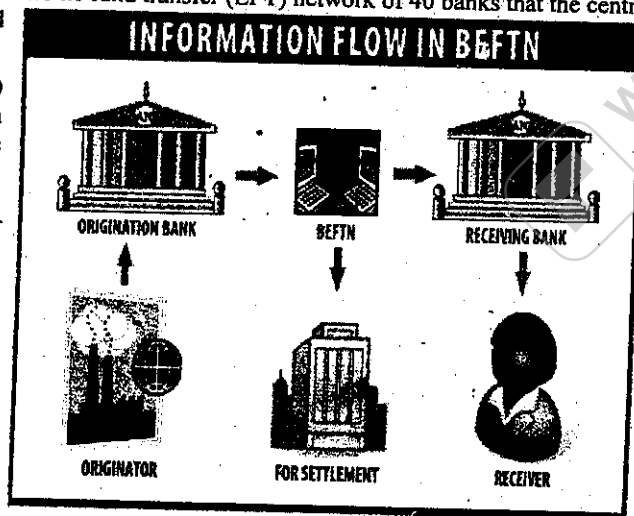
Bangladesh Bank Offers Online Fund Transfer

Employees of different organizations and firms now can draw their salaries from their bank accounts under an electronic fund transfer (EFT) network of 40 banks that the central bank introduced yesterday.

Bangladesh Bank (BB) Governor Atiur Rahman formally inaugurated the paperless system at the central bank premises after the introduction of an automated cheque processing system last year.

The new system will enable any corporate customer to pay salaries to its employees through accounts in different banks.

The central bank governor said the step is a milestone in making the banking sector of Bangladesh more technology-dependent, automated and customer friendly.



In the first phase, credit transaction has been introduced, while the debit transaction will start later, BB officials said at the inaugural function.

Rahman said, with the introduction of Bangladesh Electronic Fund Transfer Network (BEFTN), the customers will be able to do various transactions including electronic process payment of salary, overseas and local remittance and utilities' bill payment and government tax payment through the 40 banks.

He also said the system will be quicker and cost-effective compared to paper-based clearing system. The banks will be able to provide internet and mobile banking facilities if they want, the governor added. BB Deputy Governor Ziaul Hasan Siddiqui said the system will also quicken remittance transfer. He said 30 percent of the remittance recipients are the clients of the banks of the network and the rest 70 percent are of other banks.

Siddiqui said, through the EFT the clients of other banks will also get remittances quickly.

BB Deputy Director Ali Kamran Al Zahid, who presented detailed information of the EFT to the journalists, said cheques and other paper-based payments are expensive and have increasing fraud risks, but electronic payments are more secured, fast and less expensive. He said payment through cheque costs \$1.2, while it is only 10 cents under the electronic system. The automated system was introduced with the financing from the UK Department for International Development (DFID) under a project taken in 2006. As a part of it, initially the automated cheque clearing system was introduced in October last year in Dhaka. The system came to effect in Sylhet in January this year, while in Chittagong in February. The BB officials said about 80 percent cheques are now being settled through the automated system.

Source: The Daily Star, Tuesday, March 1, 2011

6.1 Business Organization

Business organization is an act of grouping activities into effective cooperation to obtain the objective of the business.

1. **L. H. Haney:** "It is more or less independent complex of land, labor and capital, organized and directed for productive purposes but entrepreneurial ability."
2. **Piffner and Sherwood:** "Organization is the pattern of ways in which large numbers of people, too many to have intimate face to face contact with all others, and engaged in a complexity of tasks, relate themselves to each other in the conscious, systematic establishment and accomplishment of mutually agreed purposes."

From the above discuss we can say that a group of people work together in a structured and coordinated fashion to achieve a set of goals is called business organization.

6.2 Characteristics of a Business Organization

The above definitions present the some characteristics of an organization .These characteristics can be grouped into seven types. These characteristics are as follows:

1. **Size:** Modern organizations are too large in terms of number of people in employment and in terms of the amount of investment. Direct contact between employer and employees is not possible in modern organization.
2. **Investment:** Modern organization involves and complicated technology, their management and operation is a complex affair. It needs assistance "from specialists at all levels.
3. **Mutually Agreed Purpose:** There must be because all activities in an organization are goal-oriented.
4. **System of Working:** There must be a in all organizations. It means there must be well defined hierarchical levels, a chain of command, rules and procedures, and communication network. So that consistency and uniformity in behavior may exist.
5. **Differentiation:** Differentiation is a must. A chain of systematic division of labour takes place by assigning authority and responsibility to, an individual who is supposed to be specialized in the job and this leads to differentiation.
6. **Co-ordination:** Coordination among various activities of a department and of the organization is necessary for the harmonious functioning of the organization Co-ordination is done by the divisional head and the organization head.
7. **Interaction:** Interaction with other systems is also must. All systems are interdependent and exert influence by others. Mutual dependence necessities interaction and consequently adaptation.

Thus the modern organization is an ideal co-ordination of the functions of a number of people for attaining the mutually agreed purposes through a well defined system of working i.e. hierarchical levels, chain of command, rules, and procedures and communications and through the principle of division of labour. It influences and is influenced by other social systems.

6.3 Objectives of a Business Organization

Analysis of organizational is done with for the fulfillment of some objectives. These objectives can help the organizational behavior scientist to run the people with desired activities. Thus objectives can be achieved and dynamism can be created or maintained. These objectives are discussed in the following points.

1. To establish a social system in the organization.
2. To determine the motivation level of employees.
3. To encourage the people, to work enthusiastically in the organization.
4. To create an environment for the development of effective leadership.

5. To develop effective group behavior among the employees.
6. To identify the reasons for conflict and to resolve the conflict.
7. To find out the reasons for frustration and reduce or eliminate the reasons.
8. To increase the morale of employees of the organization.
9. To guide the employees and executives for the establishment of successful counseling the environment.
10. To maintain the organizational environment favorable for the work.
11. To ensure effective supervision in the organizational activities.
12. To find out the ways for effective organizational development.
13. To establish an effective organizational control mechanism for smooth running.

6.4 Key Elements of a Business Organization

There are four key elements of Organizational. These elements are the pillar of organizational activities. Without these elements an organization can not survive. If these elements are in a good position organization can run smoothly. The elements are discuss as follows:

1. **People:** People of the Organization make up an internal social system in the organization. These people consist of individuals and groups. As individuals and groups, people have different values and beliefs which have impact on their action and behavior in the organization.
2. **Structure:** Structure is the formal or official relationships between superiors and subordinates and between departments and sections and between the works and activities.
3. **Technology:** Technology provides means and resources with which people perform their tasks effectively and efficiently.
4. **Environment:** Every organization must be operated within both internal external environments. The attitude, behavioral patterns and action of the people of the organization are greatly influenced by these environments.



6.5 Importance of Business Organization

The following points elaborate the role of business organizations:

1. **Minimum Cost:** It helps in attaining the goals and objectives of minimum cost in the business.
2. **Minimum Wastage:** It reduces the wastage of raw material and other expenditures. In this way the rate of profit is increased.
3. **Product Growth:** Business organization is very useful for the product growth. It increases the efficiency of labor.
4. **Distribution:** Another benefit of business organization is that it solves the problems of marketing and distribution like buying, selling, transporting, storage and grading, etc.
5. **Feedback:** An organization makes possible to take decisions about production after getting the feedback from markets.
6. **Reduces the Cost:** Business organization is useful in reducing the cost of production as it helps in the efficient use of factors of production.
7. **Secretariat Functions:** It also guides the businessman about the best way of performing the secretarial functions.
8. **Finance Management:** It also guides the businessman that how he should meet his financial needs which is very beneficial for making progress in business.
9. **Fixing of Responsibilities:** It also fixes the responsibilities of each individual. It introduces the scheme of internal check. In this way chances of errors and frauds are reduced.
10. **Quick Decision:** Business organization makes it easy to take quick decisions.
11. **Skilled Salesmen:** It is also a benefit of the business organization that it provides the skilled salesmen for satisfying various needs of the customers.
12. **Transportation:** It is another benefit is that it guides the businessman that what type of transport he should utilize to increase the sales volume of the product.

6.6 Factors to be considered for Starting a Business

Following are the main pre-requisites of a successful business:

1. **Selection:** The first and most important decision before starting a new business is its selection. If once a business is established, it becomes difficult to change it. One should make a detailed investigation in the selection of business.
2. **Feasibility Report:** A person should prepare the feasibility report about the business to be started. This report will provide the facts and figures whether business is profitable or not.
3. **Nature of Business:** There are various types of business like manufacturing, trading and services. The businessman should decide that what type of business he would like to start.

4. **Demand of Product:** The businessman also keeps in view the demand of the product which he wants to sell. If the demand is inelastic, the chances of success are bright. If the demand of a product is irregular, seasonal and uncertain, such business should not be started.
5. **Size of Business:** The Size of business means the scale of business. The size of business depends upon the demand of commodity in the market and organizational ability of entrepreneur. The determination of size of business is an important decision of a person.
6. **Availability of Capital:** Availability of capital is an important factor in the business. Capital is required for the purchase of land, machines, wages and raw materials. A businessman must decide that how much capital he can arrange.
7. **Business Location:** A businessman has to select the place where he wants to start his business. He should select that place where raw material, cheap labour and transportation facilities are available. He should also check the location of business competitors.
8. **Government Policy:** The businessman should also carefully consider the policies of government before starting a new business. Some areas are declared as 'tax free zones' and for some particular businesses the loan is provided without any interest.
9. **Availability of Raw Material:** Availability of Raw material is essential to produce the goods at low cost. Sometimes the raw material is to be imported which may create problem for him. So a businessman must keep this factor in mind.
10. **Availability of Machines:** Availability of new machines is also an important factor for a business. A businessman must see whether these machines are easily available inside the country or not. If these are to be imported then it may create the problems for him.
11. **Availability of Labor:** Skilled and efficient labour is essential to run the business in profit. But if efficient and skilled labour is not available where business is going to be started then it will not be profitable.
12. **Means of Transportation:** Quick and cheap means of transportation are essential for low cost of production and high profit rate. A businessman must keep in view this factor.
13. **Power Resources:** There must be availability of power resources like water, oil, coal and electricity. So businessman must keep in view this factor.
14. **Hiring Employees:** A businessman must hire the efficient and competent employees in the business. The proper training must be given to employees.
15. **Product Pricing:** A businessman must decide the price of his product. In the beginning the price must be low. He must keep in view that whether he will cover cost of his product and other expenses with such price.

6.7 Functions of Business Organization

Following are the main functions of a business:

1. **Production:** Production of goods and services is the first main function of the business. The production must be regular. The goods and services must be produced in such a way which can satisfy human needs.
2. **Sales:** The sale is another important function of the business. Sales are of two types:
 - a) Cash sales
 - b) Credit sales

The sale must be regular and at reasonable price. It is very difficult job because there is hard competition in each market.
3. **Finance:** It is also an important function of the business to secure finance. Finance is required for establishment and expansion of business. There are two sources of raising funds:
 - a) Owner's Capital
 - b) Borrowed Funds
4. **Management Function:** "To do things efficiently and effectively" is known as management. The functions of management are:
 - a) Planning
 - b) Organizing
 - c) Leading
 - d) Controlling
 - e) Staffing

The management also provides direction for all subordinates.
5. **Innovation:** In this era of competition, for the survival of business, innovation is essential. The businessman must try to find new techniques of production because the business may not sell present output in future.
6. **Accounting:** Another function of the business is to maintain its records properly. To record the business activities is called accounting. With proper accounts, the owner can know the actual performance of business and chances of fraud are reduced.
7. **Marketing: According to Harry Henser:** "Marketing involves the design of the products acceptable by the consumers and the conduct of those activities which facilitate the transfer of ownership between seller and buyer." Through marketing, goods are moved from producers to consumers. It is an important function of the business. This function includes buying, selling, transportation, product designing

and storage, etc. The concept of marketing mix is very important in marketing. It includes four Ps:

- a) Product
 - b) Price
 - c) Place
 - d) Promotion
8. **Quality Improvement:** Quality of product must be improved to increase the sale. If quality of product is poor then business may suffer a loss.
 9. **Motivation:** Motivation is very essential for increasing the efficiency of employees. Motivation encourages the employees to give their best performance.
 10. **Research:** Research is also an important function of any business. Research is a search for new knowledge. By research, business becomes able to produce improved and new goods. The research is of two types:
 - a) Basic Research
 - b) Applied Research

Frozen Food Exports Return from Losses

The frozen fish and shrimp sector is returning from the past two years' losses thanks to a rise in prices, as demand for seafood is going up on the global market.

The export volume has not increased.

A shortage of supply of shrimp and prawns bars the 10 lakh-job providing sector from taking full advantage of the rise in prices on the international market, industry insiders say. Between July and November of fiscal 2010-11, export earnings from frozen foods surged 40 percent to \$266.21 million, from a year ago, according to the Export Promotion Bureau. Exporters attributed the rebound in export earnings to recovery from recession in Europe and the USA. "We received good price offers for our products. That's why our exports increased in terms of value," said Kazi Belayet Hossain, former president of Bangladesh Frozen Foods Exporters Association.

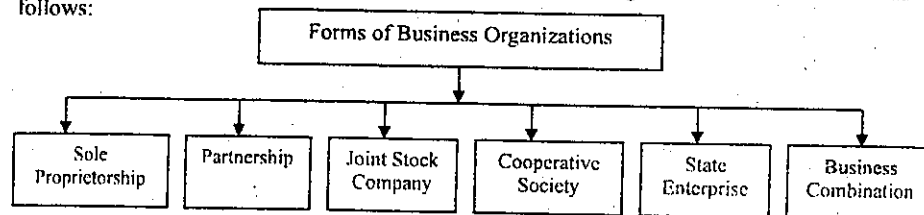
The July-November data stood higher than in the same period of fiscal 2008-09. In July-November of fiscal 2008-09, exporters fetched \$242.38 million. The economic meltdown and its impact led to a slump in demand for shrimps and frozen fish in Europe and the USA in the past two fiscal years. A six-month voluntary ban on prawn exports to the EU and a fall in output due to a reduction in farming area after Cyclone Aila in 2009 had also widened the losses in export earnings earlier. The global market is now moving up, said Masudur Rahman, director of Fresh Foods Ltd, a leading exporter.

"A rise in prices indicates more demand and consumption in Europe and America," he said. Khan Habibur Rahman, senior executive director of another leading exporter, Lockpur Group, said the prices rose between \$1-2 a pound on the international market in the last one year.

The sector, however, could not reap the benefit of increased prices fully due to lack of production of shrimps and prawns. Khan linked the rise in prices to a fall in catches in the USA after the oil spill in the Gulf of Mexico. "Prices went up in the USA and it later caused a spike in prices on the European market," he said. "It's a good sign. Higher prices will encourage farmers to grow more shrimps," said Khan, expecting that a rise in production will help the sector heal the wounds.

6.8 Forms of Business Organizations

There are different forms of business organizations available in Bangladesh. All the forms are not same. Few are very small in size, few are giant. Some of them are labor intensive; some of them are capital intensive. The forms of business organizations are discussed as follows:



6.8.1.1 Definition of Sole Proprietorship Business

A Sole proprietorship or one man business is a form of business in which an individual produces independently with his own capital. Skill and intelligence is entitled to receive all the profits and assumes all the risks of ownership. Where a business undertaking is owned and controlled by one man with or without the help of his family members or a few employees. We can say this business is one man business and the owner is commonly called the sole proprietor or sole trader. It is also known as individual proprietorship or individual entrepreneurship.

Historically, this form of organization is the oldest form of business ownership. It is the most natural and simplest form of business organization in the world.

Some scholars' definitions are given below:

1. **Koontz and Fulmer:** "A Sole trader is a person who carries on business exclusively by and for himself"
2. **B.O Wheeler:** "Sole proprietorship is the form of business ownership which is owned and controlled by a single individual."
3. **R.M Hodgetts:** "A sole proprietorship is a business that is owned and controlled by a single individual."
4. **Professor Gloss and Baker said,** "A sole proprietorship is a business owned by one person and operates for his profit."
5. **James Stephenson:** "A sole trader is a person who carries on business exclusively by and for himself".

Snapshots

Business

Business is a set of legal activities for the purpose of earning profit.

Sole Proprietorship

Sole proprietorship is the form of business ownership which is owned and controlled by a single individual.

Owner

The person who has legal title to property; the person in whom ownership, dominion, or title of property is vested.

6. **S.S. Sarkar:** "A sole trader is a person who sets up the business with his own resources manager of the business himself".
7. **M.C. Shukla:** "A sole proprietorship is a form of organization in which an individual provides independently with his own capital, skill and intelligence and is entitled to receive all the profits and assume all the risks of ownership"

From the above discussion we can say that the sole proprietorship is a business which is owned and controlled by an individual. The main types of business that take the form of sole proprietorship are retailers, hawkers, small grocery stores, bakery-confectioners, laundries, small printing. So a sole proprietorship is owned and controlled by a single individual.

6.8.1.2 Characteristics of Sole Proprietorship Business

Sole proprietorship business is the oldest form of business ownership. It is different from other business organizations. Sole proprietorship business has some characteristics that differ from other organizations. **L. H. Haney** said regarding the characteristics of the sole proprietorship, "The individual entrepreneurship is the form of business organization on the head of which stands an individual as the one who is responsible, who direct sits operation, who alone runs the risk of the failure." The vital characteristics of sole proprietorship business are described below:

Characteristics of Sole Proprietorship Business

- | | | |
|----------------------------------|-------------------------------------|-----------------------------|
| 1. Single ownership | 5. No separate entity | 9. Flexibility in operation |
| 2. Easy formation | 6. Unlimited liability | 10. Universality |
| 3. Small capital | 7. Individual risk | 11. Personal control |
| 4. Self-management and direction | 8. Free from government regulations | 12. Uncertain stability |

Characteristics of Sole Proprietorship Business are discussed below:

1. **Single ownership:** A sole proprietorship is a business owned by one person and operated for his own profit where a business undertaking is owned and controlled by one man with or without the help of his family members or few employees.

Snapshots

Ownership

Exclusive right of possessing, enjoying, and disposing of a thing; often said to include the concepts of possession and of title, thus being broader than either.

Capital

Capital is the amount of cash and other assets owned by a business.

2. **Easy formation:** Sole proprietorship business is the simplest and the most natural business organization because the individual carries on business exclusively by and for himself. It does not follow any of the rules and regulations to form and carry on the business.
3. **Small capital:** Sole proprietor invests his own capital and he is his own manager. So the amount of capital is very small. Sometimes the owner can collect capital money by borrowing from his relatives, friends and banks.

4. **Self-management and direction:** The full control of the business is totally on the owner. He is the supreme judge of all matters pertaining to it as he makes his own decisions. He bears the entire risk and derives the total benefits. He has almost unlimited freedom of actions.

5. **No separate entity:** In the eye of law, there is any separate entity of sole proprietorship business organization from the owner of the business.

6. **Unlimited liability:** The owner of the sole proprietorship business has the unlimited liabilities. Because all kinds of profit or loss goes to owner of the business.

7. **Individual risk:** In the sole proprietorship business, there is no scope to distribute the risk to other holders. All of the risks of business have to bear by the sole proprietor.

8. **Free from government regulations:** Sole proprietor may engage in any business, he chooses without any legal formalities unless he wishes to engage in certain types of business requiring licenses.

9. **Flexibility in operation:** As the sole proprietor, he has the full control over his business and is the supreme judge in all matters. He can introduce changes as think and want to do.

10. **Uncertain stability:** Stability of sole proprietorship business is really uncertain. Its stability depends on the death of the owner, inability and desire of the proprietor. So the stability of sole proprietorship is very uncertain.

11. **Personal control:** The owner of sole proprietorship business is tried to control all the business activities. Since he is the supreme judge of all matters pertaining to it, he makes his own decision.

12. **Universality:** Sole proprietorship business is seen every country of the whole world. Every one prefers it for its characteristics and other facilities. This is the oldest form of business ownership.

From the above discussion we can say that the characteristics of sole proprietorship are mainly depend on the different sole proprietorship business. It is the oldest form of business organization; it has equal popularity to all over the world for its' easy formulation, management and quick decision making. Sole proprietorship business is very simple in nature. It is free from complexity. So it is very popular to all of the people.

Snapshots

Directing

A basic management function that includes building an effective work climate and creating opportunity for motivation, supervising, scheduling, and disciplining.

Controlling

The management functions of checking to determine whether employees are following plans and progress is being met and of taking actions to reduce differences between performance and plans.

Decision making

The thought process of selecting a logical choice from the available options.

6.8.1.3 Benefits of Sole Proprietorship Business

To identify the benefits of the sole proprietorship business are as follows:

General Advantages of sole proprietorship

The principal advantages of sole proprietorship organization are as follows:

1. **Easy formation:** An individual enterprise is easy to form and simple to run. No legal formalities like registration, clearance to start are required to set it up. Any person can engage in such a business, in anytime.
2. **Direct motivation:** The proprietor has a direct personal interest in the business which makes efficient and economy of owner. The direct relationship between effort and reward acts as a stimulus to maximize profit for a sole proprietor.
3. **Complete degree of control:** The owner of a sole proprietor is the sole master; he has complete controlling over his business. He is not responsible to anyone else actually no problem of coordination arise his own decisions that will make for reconciliation of the various interest of the firm.
4. **Promptness in decision making:** Promptness in making decisions helps to increase efficiency. A sole trader being the supreme judge and sole master can make a prompt decision and thereby take advantage for gaining maximum profit.

Social Advantages of sole proprietorship

The Sociological significance of sole proprietorship in the form of a small shop consents in rendering some important, may, indispensable services to the community and at the same time providing the basis of independent livelihood.

1. **Independent way of life:** The form of organization provides a way of life for those who take pride in ownership and control of what they own such persons are obviously of independent spirit and would not care to serve under others. It gives him an opportunity to utilize his capacity to the maximum and to enjoy freedom of actions.
2. **Generation of social virtues:** It affords a form of life and work which permit a high degree of self-determination. The enjoyment of purposeful work, the worth of social contact and a well-integrated family and respectable life. It also develops the qualities of self-reliance responsibility and initiative which are of great social importance.
3. **Diffusion of business ownership:** As under this form of organization, very small number of people must own and manage vast number of business units; specially one is owned and controlled the business. It makes for diffusion of business ownership on against concentration of power in a few hands offered by a Joint Stock Company.

In conclusion it may be safely stated that individual control is the best from the point of view of efficiency and profitability, provided that one man is enough to manage everything independently.

6.8.2.1 Definition of Partnership Business

"Two head is better than the one" is the theme slogan of the partnership business. To remove the limitations of the sole proprietorship business, the partnership is formed. Although it has some liabilities but it is the group endeavor to establish a legal business entity among the members.

In the general meaning, when two or more persons agreed to form a business and run by them with a view to earn profit is called partnership business.

But in the broad sense, partnership business is one which is formed by two to twenty persons but in case of banking business it is two to ten based on mutual agreement for the sake of earning profit.

In the view of Act and the authors: In the view of laws the definition of partnership business are given below:

1. **British Partnership Act in 1980 (Sec-1):** "Partnership is the relation which subsists between persons carrying business in common with a view to earning profit."
2. **Partnership Act, 1932 enforceable in Bangladesh (Sec-4):** "Partnership is the relation between persons who are agreed to share profit of a business carried on by all or any of them acting for all."
3. **Uniform Partnership Act, Sec-6 (1):** "Partnership is an association of two or more persons to carry on as co-owners of a business profit."
4. **F. Thomas:** "A partnership is an association of people who carry on business together for the purpose of making profit."
5. **Mr. Pearson:** "Partnership is the combination by two or more persons of capital or labor or skill for the purpose of business for common benefits."

After analyzing the above definitions it can be said about partnership business-

- (i) Partnership business is the combination of two or more persons.
- (ii) It is formed on the basis of deed.
- (iii) It is regulated by Act.
- (iv) It is maintained and run by good faith and mutual agreement of members.

So from the above discussion we can say that partnership is a contract of two or more competent persons who invest their money, labor efforts and efficiently maintain the act in fully sense as well as to share the profit and bear the loss in certain proportion.

Snapshots

Partnership

Partnership is the relation between persons who are agreed to share profit of a business carried on by all or any of them acting for all.

Partner

A person who takes part in a business or company with shared risks and profits.

6.8.2.2 Characteristics or Features of Partnership Business

Normally partnership is the relation between persons who are agreed to share profit that a business carried on by all or any of them acting for all.

Features of Partnership Business

- | | | |
|-------------------------|--------------------------------|------------------------------------|
| 1. Easy formation | 4. Unlimited liabilities | 7. Distribution of profit and loss |
| 2. Number of members | 5. Legal entity | 8. Registration |
| 3. Contractual relation | 6. Mutual trust and confidence | 9. Stability |
| | | 10. Winding-up |

There are many features of partnership business which are as follows:

1. **Easy formation:** The formation of partnership business is very easy. Two or more persons form a partnership business by following mutual agreement.
2. **Number of members:** For consisting a partnership business, there must be needed an association of two or more persons. Normally in a partnership business partners must be minimum 2 and maximum 20 persons. But the maximum number of persons in case of banking business is 10.
3. **Contractual relation:** The relation of partnership arises from contract and not from status or family relation. Deed is the fundamental basis of partnership business. These sorts of deed may be oral or written and registered or non-registered.
4. **Unlimited liabilities:** Partners of partnership business remain liable for his duties and responsibilities. Every partner is liable individually and collaboratively for business debts.
5. **Legal entity:** Partnership business is formed, guided and maintained by Partnership Act 1932 which is the life blood of business. Under this act all the partnership business conducted their activities.
6. **Mutual trust and confidence:** The successful working of a partnership depends on mutual trust and confidence of its partners. Without mutual trust and confidence no partnership business can be success.
7. **Distribution of profit and loss:** Profit and loss is distributed according to the condition of deed paper. But if it is not mentioned in the deed, profit and loss would be distributed equally.
8. **Registration:** The registration for partnership business is not mandatory. But if it is done then some advantages will be acquired. Because without registration of partnership deed, it will never get any legal support.
9. **Stability:** The stability of partnership business is not very stable always. Because most of case of partners are involved in the different unexpected activities. For many reasons a partnership business is always uncertainty to continue.

Snapshots

Registration

Registration is the process by which the authority records specific data in respect of Employers and Employees and issues a unique Registration Number, which positively identifies one entity from another.

Taxation

A means by which government finance their expenditure by imposing charges on citizens and corporate entities.

10. **Winding-up:** If any activity is seen beyond deed done by partners that will unable to be existed or any partners becomes bankruptcy or fall in death or quit from the partnership then the business is dissolute.

These are the common features of partnership business which are very familiar with partners of a partnership business. These features of partnership business are different from other forms of business. On the other hand these features create popularity of partnership business in the world.

6.8.3.1 Definition of Joint Stock Company

When some people voluntarily construct an organization by investing their money for the purpose of earning profit according to the rules and regulations of the respective country is called Joint Stock Company. This business is operated by its own Name & Logo and considered as an artificial being having a separate ownership from management.

There are some important definitions of the joint stock company given below:

1. According to the **Indian Companies Act- 1956:** "Company refers to the mutual organization of some people where they invest their money or valued property in order to earn certain destination"
2. **Justice Marshall:** "A corporation is an artificial being, invisible, intangible and existing only in the eyes of the law. Being a mere creature of law, it possesses only those properties which the charter of its creation confers upon it, either expressly or as incidental to its very existence."
3. **Y. K. Bhushan:** "A company may be defined as an artificial person recognized by law, with a distinctive name, a common seal, a common capital comprising transferable shares of fixed value carrying limited liability and having a perpetual succession".
4. **James Stephens:** "A company is an association of many persons who contribute money or money's worth to a common stock and employs it in some trade or business, and who share the profit and loss arising there from."

Thus, a company may be defined as a voluntary association, an incorporated association, legal and invisible artificial person having an independent, separate legal entity along with perpetual succession and a common seal, whose liability is ordinarily limited, the capital is divided into transferable shares, held by shareholders in order to earn profit.

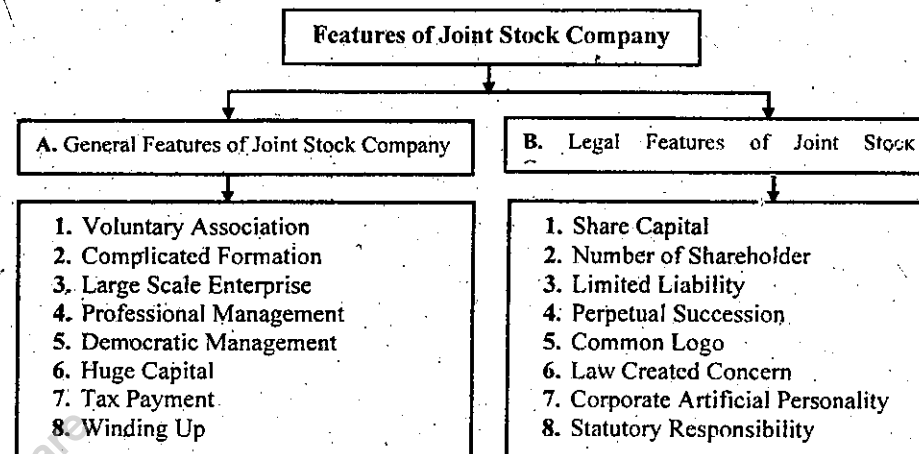
Snapshots

Joint Stock Company

Joint Stock Company is a artificial person, recognized by law, with a distinctive name, a common seal, a common capital comprising transferable shares of fixed value carrying limited liability and having a perpetual succession.

6.8.3.2 Features of Joint Stock Company

Joint Stock Company is acquainted as a voluntary organization created by law. It has some particular characteristics that give it a distinct artificial dignity. These features can be divided into two major divisions as follows:



A. Common/General Features of Joint Stock Company:

1. **Voluntary association:** A company is a voluntary association of persons formed and incorporated under the existing law. Few people willingly can collectively construct a company. They voluntarily contribute money or money's worth to a common stock.
2. **Complicated formation:** The formation of a joint stock company is very complicated process as it requires fulfilling strict legal procedures.
3. **Large-scale enterprise:** Basically Joint Stock Company is a large-scale enterprise because of its huge capital collected from its huge members.
4. **Professional management:** The company appoints experienced, competent and experts to manage the business.
5. **Democratic management:** The members of Joint Stock Company have the power of voting to elect the members of the board of directors.
6. **Huge capital:** As Joint Stock Company raises its capital from shares and debentures, public deposits, loans etc., it has more chances to arrange huge amount of capital which can help it in conducting business on a large scale.

Snapshots

Democratic Leadership

A type of general supervision in which the Manager consults with subordinate about job related issues also referred to as participative leadership.

Participative Leadership

Style of leadership in which the leader involves subordinates in goal setting, problem solving, team building etc., but retains the final decision making authority.

7. **Tax payment:** Joint Stock Companies face double taxation rules or pay double taxes to the government. One is by paying tax out of the profit of the company's revenue. The other is being applied on the personal income of the share holders.
8. **Winding up:** A Joint Stock Company can be wound up by law according to the section 155 [1]. This winding up may be occurred through the court or under the court or by the company alone voluntarily.

B. Legal Features of Joint Stock Company:

1. **Share capital:** The capital of a company is divided into shares of small quantity which are readily transferable from one owner to another without much formality.
2. **Members of shares:** Number of share of Joint Stock Company has determined by law. In this regard, the members of private limited are at least 2 and at most 50 and in case of Public Limited Company the lower bound is at least 7 and the highest bound is determined according to the number of shares.
3. **Limited liability:** The amount of liability of the shareholders is confined in their purchased amount share only. Their personal properties cannot be seized to meet the company's liability beyond the other forms of business.
4. **Perpetual succession:** As the company has got distinct artificial personality created by law, it may never be disorientated even if there is any change in the company. In other words, its existence is not affected by the death, insolvency or retirement of its shareholders or directors.
5. **Common logo:** Since a company is an artificial person created by law, therefore, it can not sign document for itself. Every Joint Stock Company has its own logo or seal that gives it a distinct familiarity in the business world which is used everywhere as its signature as a company.
6. **Low credited concern:** A joint stock company is the creation of law or special act of the state. In Bangladesh, Joint Stock Companies are formed, operated and regulated by the Companies Act 1994.
7. **Corporate artificial personality:** Joint Stock Company belongs to a different and distinct artificial existence or personality.
8. **Statutory responsibility:** Joint Stock Companies have to maintain some statutory responsibilities and duties such as making reserve of portfolio, formulation of accounts, scrutiny of accounts, arranging meeting etc.

Above were the types of general and legal features which were brought out by the analysis of the various definitions of Joint Stock Company. These are the facts which make it distinct from the other types of companies.

6.8.4.1 Definition of Cooperative Society

Cooperative society was originated from the word of cooperate which indicates assistance. Society means association or collection of a group of people. Earning profit is not main goal of cooperative society, rather prosperity of the members, ensure the rights and dignity, develop the worse situation; change the fate, believes, honesty, economic as well as increase the aides is the main goals of this society. The different scholars were provided different definitions of cooperative society which are as follows:

1. **V. L. Mehta:** Cooperative society is only one aspect of a vast movement which promotes voluntary association of individuals having common needs who combine towards the achievement of common economic ends.
2. **Paul Lambert:** A cooperative society is enterprises formed and directed by an association of users, apply within itself the rules of democracy and directly intended to serve both its own members and the community as a whole.
3. **Prof. R. Chambers:** Co-operative is the association for supplying goods or carrying on some branch of industry, the profit of which go to the members.
4. **Henry Calvert:** Cooperative form of organization wherein the persons voluntarily associate together as human being on the basis of equality for the promotion of economic interest of themselves.

From the above discussion we can say that a voluntary organization where everybody is equal and assistance is the main power as well. That's why H. Calvert said that "It is a form of organization where the persons associate together for the promotion of economic interests of themselves on the basis of equality."

6.8.4.2 Features of Cooperative Society

Cooperative society is a legal organization which has extra-ordinary acceptance to the general people. According to L. Darling "It is more than principles, a power and-thinking engine of a fresh mind." So it has various kinds of features which are given below:

Features of Cooperative Society

- | | | |
|---------------------------|----------------------------|---------------------------------------|
| 1. Nature of formation | 7. Distribution of profit. | 11. Equal voting right |
| 2. Objectives | 8. Democratic management | 12. Audit accounts |
| 3. Number of members | 9. Liability of members | 13. Government control and assistance |
| 4. Open membership | 10. Separate entity | 14. Following of principles |
| 5. Collection of capital | | |
| 6. Limited share purchase | | |

These features are elaborately discussed as follows:

1. **Nature of formation:** A few people form it under ongoing Cooperative Society Act in Bangladesh. That's why they collect registration from the register office by paying required fees and necessary documents. After getting permission, cooperative society can conduct its activities.

2. **Objectives:** The main objective of cooperative society is financial development and welfare of the members. Assurance of prosperity and financial improvement among the members is goal of the cooperative society.
3. **Number of members:** According to the Cooperative Society Act-2001, section 8(1-A); at least 20 members to be needed for forming primary and 10 members must be needed for central and national cooperative society in Bangladesh.
4. **Collection of capital:** Basically purchase of share and collection of deposit is the main sources of collecting capital. The small amount of capital on basis equality is needed for forming cooperative society.
5. **Open membership:** The membership of the cooperative society is open but matured persons, local, same occupation can be member of this organization. It is easy to become a member because it has no limit and share price is comparatively low.
6. **Share purchase:** The thyme of cooperative society to collect huge number of members. According to the Cooperative Society Act-2001, section [15(2-A)] there is no scope to purchase all the share by a few number of persons but any member can purchase at least one fifth of the total share.
7. **Distribution of profit:** All the profit of cooperative society is not distributed among the members. Because cooperative society must keep At least 15% in reserve fund and 5% to keep in cooperative development fund then rest of profit distributed among shareholders.
8. **Democratic management:** In the cooperative society, democratic management system must be maintained both managerial and operational levels. Board of directors is formed through the direct voting process of members.
9. **Liability of members:** The liability of cooperative society is limited. Every members of the cooperative society is liable on the basis of their share. Their personal property will not be affected in the cooperative society.
10. **Separate entity:** According to the Cooperative Society Act-2001, section 14(1), it has separate and unique entity due to register under cooperative society Act. Consequently, it can use own name and logo for conducting business. Due to this entity, cooperative society acquires perpetual existence.
11. **Equal voting right:** According to the Cooperative Society Act-2001, section

Snapshots

Capital

Capital is the amount of cash and other assets owned by a business.

Distribution

The movement of goods and services from the sources through a distribution channel, right up to the final customer, consumer, or user, and the movement of payment in the opposite direction, right up to the original producer or supplier.

Organization

A group of people working together in a structured and coordinated fashion to achieve a set of goals.

Profit

The surpluses remaining after total cost are deducted from total revenue, and the basis on which tax is computed and dividend is paid.

36(1), every member has equal voting right though anyone put shares.

12. **Accounts audit:** According to the Cooperative Society Act-2001, Section 43(1), it is mandatory to audit all accounts at least onetime a year. Registrars provide this duty to a specific audit firm and audit all the accounts perfectly.
13. **Government involvement:** Government can to control all the business activities of a cooperative society. Sometimes government conducts meetings, program, and participate in decision making, operations and book-keeping of the cooperative business. Besides this government take initiative to provide training to the members with financial and non-financial assistances.
14. **Following principles:** Collective unity, assistance, honesty, equality, friendship above all service is the main criteria to success this kind of organization. Cooperative society must follow these principles for improving the socio-economic condition of the members.

From above discussion, we can say that cooperative society is a registered, separate entity, limited liabilities; democratic management based voluntary business organization. Financial solvency is the main objective of the members of cooperative society.

6.8.5.1 Definition of State Enterprise

If the state gets the ownership on continual at any business directly or indirectly inest it that business is called as state enterprise. The business controlled or operated by the government is known as state enterprise. It can be either formed by government or the government may take the ownership and custody of any private company. The main objective of this business is to make sure the welfare of the people as used as proper distribution of wealth.

Different definitions were given by different authors or writers they are given below:

1. **Professor Hanson:** "State Enterprise is the operation of commercial or industrial organization undertaken by the state".
2. **Bissownath Ghosh:** "State enterprise is the business which is owned and controlled by the state."
3. **Mr. N.C. Roy Chowdhury:** "State Enterprise is the business which is owned by the Government".
4. **Professor Mukharzee:** "The business which is owned and controlled by the state or government is called state enterprise."

From the above discussion we can say that the state enterprise refers to those businesses which are partly or wholly owned and controls by the government. The revenue of this business spends for the public welfare.

6.8.5.2 Features of State Enterprise

Now-a-days, we can see state owned enterprises are found more or less in every country. In many ways it has been criticized. But this business deserves to be on talk as different kinds of business organizations. There are some features which make it different from other business organizations and those features are stated below:

Features of State Enterprise

1. Formation	6. Distribution of profit	10. Risk taking
2. Ownership	7. Limited liability	11. Size
3. Capital	8. Autonomy	12. Accountability
4. Purpose	9. Administration and management	13. Bureaucratic management
5. Legal entity		14. Winding up

- 1. Formation:** A state enterprise can be established directly by government entrepreneurship or both by government and non-government steps. Even it can be formed by the permission of the president or by a special law of court.
- 2. Ownership:** Generally, state owner of these kinds of businesses means that state is the owner of this business. But sometimes some capital of business is collected from the public and in this position it's become joint ownership business.
- 3. Capital:** Basically, agreement serves the necessary capital of the business. If necessary agreement can sell some of the shares to collect capital, in these position the amount of collected capital has to be less than half of the total capital.
- 4. Purpose:** Making profit is not the main purpose of this kind of business organization. The main purpose of this organization is the public welfare and doing something which benefits the public most.
- 5. Legal entity:** state enterprise has a different legal entity that means business and owners are different from each other. Because it is formed under a special section of law, that's why it achieves an anti-social and individual entity. This business by own name can make a deed with third party, can suit against someone and third party also can suit against these business.
- 6. Distribution of profit:** Making profits is not only the main purpose of state enterprise, but also earning profit. The profits earned by these businesses are kept in state treasure, and the money spends only for the welfare of public.
- 7. Risk taking:** Government has to bear the whole risk of state enterprise. But in case of joint ownership state enterprise, the risk is limited by the price of share.
- 8. Autonomy:** This kind of business is operated and controlled by the own policy of law. That's why its organization is operated by individual power.
- 9. Administration and management:** State enterprise generally operated by the board of directors, selected by government and government employees are in charge of management.
- 10. Limited liability:** The liability of these businesses is limited. If share are sold to the public, the liability of shareholders are limited by the price of the shares they bought.

- 11. Size:** Since the capital of state enterprise is very big that's why the size of these organizations is also very big. It can't be made very small, because it's owned by the state.
- 12. Accountability:** For the success and failure of state enterprise public accountability is must. Public have the full right to ask question to the authority for every activities of this organization. The authorized minister has to give explanation in parliament.
- 13. Bureaucratic management:** The management of these organizations is faulted by bureaucratic management. The mentality of the manager is not up to the mark. The managers think they are governmental head, so that they can do anything. That's why they want to do something for them and not for the public and organization. They don't think about the development of the organization.
- 14. Winding up:** The stability and winding up of state enterprise is completely depending on the wish of government. If government thinks some organizations are not needed, government can wind up that organization. Government can form state enterprise and can wind up easily.

After above discussion, we can see that though state enterprise is a government organization, it has some features like other business organizations. And as different kinds of business organizations, its features have taken it to the higher level where people like it very much. Because of its features it is on the top of popularity today.

6.8.6.1 Definition of Business Combination

In general sense 'Combination' means an association of some business enterprise for enjoying some economic benefits. So one or more business organizations desire to or make a combination under same management to earn more profit. It may be formal or informal in nature. These types of combination are called business combination. By business combination same interested business persons can reduce unnecessary competition and earn more profit, contain the supply of raw materials, enjoy monopoly business benefits, large business facilities and control the production. Business combination may be permanent or temporary. Some writers give their opinion about business combination are given belows:

- 1. Find L.H. Haney** "To combine is to become one of the parts of a whole, and combination is merely a union of persons to make a whole or group for the prosecution of some common purpose."
- 2. R.K. Sharma and G.K. Gupta** "Business combination is a method of economic organization by which a common control of greater or lesser completers is exercised over a number of firms which either one operating in competition or independently."
- 3. M.C. Shukla** "A combination is said to exist when two or more units are operated or controlled by one ownership interest,"

4. **S. S. Sarker, R. K. Sharma and S. K. Gupta** "Business combination is a method of economic organization by which a common control, of greater or lesser completeness is exercised over a number of firms which either are operating in competition of independently."

5. **New world Dictionary** "Combination means integration of an organization to achieve a common purpose."

From the discussion we can say that, when two or more business unit combine for some economic benefits, combination comes into existence. Main objective of forming a combination is to maximize profits in one way or other ways. To combine does not indicate that the entities of business enterprises shall be merged its one business unit.

6.8.6.2 Objectives of Business Combination

The Fundamental objective of forming a business combination is to maximize profits in one way or other ways. More over there are some objectives of business combination helps to identify the business combination individual than others. The main objectives of forming a business combination may be stated as follows:

Objective of Business Combination

1. Ablution of competition	5. Attaining highest profit	9. Developments of skill
2. Development of business efficiency	6. Creating pressure on government	10. Economy in distribution expenses
3. Ensuring continuous supply of raw-materials	7. Attaining benefits of monopoly business	11. Regular supply of Raw-materials
4. Gaining advantages of large scale business	8. Expansion of Market	12. Maintaining self existence

The objectives of business combination are discussed below:

- 1. Ablution of competition:** Business combination is made to maximize profit and reduce risk and unnecessary competition with the competitors. That competition creates production cost and increase the marketing cost so resources will be destroyed. So the rate of profit will be decreased. By making business combination business can about the composition.
- 2. Development of business efficiency:** By forming business combination small business organizations can create combination then invest their capital and knowledge in creating large business organization.
- 3. Ensuring continuous supply of raw-materials:** Continuous supply of raw materials is essential for continuous production of goods. Some time industries create artificial crisis of raw materials by adverse competition.
- 4. Gaining advantages of large scale business:** It is impossible for small industries of produce large scale production. Small business can produce large scale production by making business combination.

- 5. Attaining highest profit:** Combination is formed at the time when most of the business owner find no alternative but to carry on business sustaining loss or minimum profit.
- 6. Creating pressure on government:** Industrial sector is affected by trade policy, industrial policy and tax policy of government. But sometimes government prepares this policy which goes against business persons. To give pressure government to prepare this policy of which help business people it is necessary to combine themselves.
- 7. Attaining benefits of monopoly business:** By combining business people can create monopoly market. The capture market has many competitors that become hard to enter into this market. Then it gives extra benefit for the business.
- 8. Expansion of Market:** Business combination can expand the market of goods and services to the country and outside the country. For globalization whole world becomes a global market. So to enter in the international market business combination is used as a means to enter in that market. It is very difficult to enter in global market as a small industry.
- 9. Developments of skill:** Development of skill is possible by creating business combination. Because of large industries or corporation can be established by business combination. By work diversification skill of the workers will be developed.
- 10. Economy in distribution expenses:** Now-a-days substantial amount of money is spent for the distribution of the commodities. Almost all the firms require to spend some amount of the advertisement, salesmanship etc which raises the costs of distribution. This can be reduced to a great extent if advertisement is done collectively and channels of distribution one brought down to the minimum. This is possible in a combination.
- 11. Regular supply of Raw-materials:** For continuous production sufficient raw materials are essential. For their purpose some raw materials suppliers and producers make a business combination to continue the supply of raw-materials. As a result continuous production can be made by regular supply of raw-materials.
- 12. Maintaining self existence:** There are many objectives of business combination. One of the important objectives of business combination is maintaining self existence in every situation of economy whether good or bad and to compete with the competitors small industries create combination. Small business cannot exist in the market with large business.

From the discussion it is to be said that for above objectives some businesses make business combination. Not only these objectives can be attaining by business combination but also small business can make permanent its existence in market.



- | | |
|-------------------------|--------------------|
| ▪ Organization | ▪ Finance |
| ▪ Business organization | ▪ Tax |
| ▪ Sole | ▪ Society |
| ▪ Proprietor | ▪ Government owned |
| ▪ Commerce | ▪ Entrepreneur |
| ▪ Suitability | ▪ Banking |
| ▪ Capital | ▪ Investment |

Short Questions

1. What do you mean by Sole Proprietorship Business?
2. Does the formation of the Sole Proprietorship Business easy in Bangladesh?
3. For what kind of product the Sole Proprietorship Business is popular?
4. What do you know about the term "Partnership Business"?
5. Point out the objectives of partnership business.
6. What do you know about the partnership deed?
7. What do you know about the term "Joint Stock Company"?
8. Point out the features of Joint Stock Company.

Broad Questions:

1. What is sole proprietorship business? Discuss the characteristics of it.
2. In the perspective of Bangladesh, what type of merits can bring the sole proprietorship business?
3. What are the main risks of establishing the sole proprietorship business in Bangladesh?
4. Briefly explain the essential elements of partnership business.
5. "No deed, no successful partnership business"-Do you agree with the statement? Why or why not?
6. Briefly explain the essential elements of Joint Stock Company. Which element is the most important for developing the company and why?
7. Discuss in short the classifications of Joint Stock Company. Which company is more appropriate in Bangladesh and why?
8. What do you mean by Cooperative Society? Describe the principles of cooperative society in Bangladesh.

True – False

1. Sole proprietorship business organization is the oldest form of business ownership.
2. There is no separate entity of sole proprietorship business organization from the owner of the business.
3. All the liabilities of the sole proprietorship business have to bear by the owner.
4. When two or more persons agreed to form a business and run by them with a view to earning profit is called sole proprietorship business.
5. Partnership is formed on the basis of deed.
6. In our country the members of partnership business are limited within 2-20 and in case of banking business it is 2-10.
7. The idea of Joint Stock Company comes out as an organization with the advantage of capital, limited liability, skilled functioning & direction and perpetual existence.
8. Joint Stock Companies are constructed, operated and regulated by the Companies Act 2010 in Bangladesh.
9. After the liberation war the movement of cooperative society is very much acute as cover the loss of the country.
10. Cooperative society is an individual organization.

Fill in the blanks

1. Sole proprietorship business organization is the _____ form of business ownership.
2. Capital of sole proprietorship is _____ and liability is _____.
3. A sole proprietorship is a business that is _____ and _____ by a single individual.
4. _____ business is one which is formed by two to twenty persons.
5. A partnership is an _____ of people who carry on business together for the purpose of making profit.
6. Partnership business is formed on the basis of _____.
7. A company may be defined as an _____ person recognized by law.
8. Joint Stock Company is a _____ organization.
9. Cooperative means the collective attempt which is oriented by the _____.
10. _____ is not the main objective of cooperative society.

Multiple Choice Questions

1. The formation of sole proprietorship business is:
 - a) Easy
 - b) Complex
 - c) Registered
 - d) Not registered
2. Which is the characteristics of sole proprietorship Business
 - a) Single ownership
 - b) Hard Formation
 - c) Large capital
 - d) Controlled by others
3. What is Social Advantages of sole proprietorship-
 - a) Catering for individual tastes
 - b) Credit Standing
 - c) Minimum Governmental regulation
 - d) Independent way of life
4. Partnership business is the
 - a) Combination of many persons.
 - b) Contractual deed
 - c) Single man business
 - d) Mutual agreement of members.
5. Number of partners of Banking sector is
 - a) 2-20
 - b) 2-15
 - c) 1-10
 - d) 2-10
6. In Bangladesh Partnership Business is conducted by the Act passed in
 - a) 1994
 - b) 1932
 - c) 1882
 - d) 1933
7. In Bangladesh Joint Stock Companies are constructed, operated and regulated by the following
 - a) Companies Act 1994
 - b) Companies Act 1993
 - c) Companies Act 1992
 - d) Companies Act 1995
8. Company means a company formed and ----- under this Act or any existing
 - a) Registered
 - b) Undistorted
 - c) Non-registered
 - d) Maintained
9. Social welfare policy was developed in
 - a) After the 1st world war
 - b) Before the 1st world war
 - c) Before the 2nd world war
 - d) After the 2nd world war
10. State Enterprise is the operation of commercial or industrial undertaking by the
 - a) State.
 - b) Individuals
 - c) Partners
 - d) All of these

Answer is given on page 202

Case Study-6.1**BKMEA Training: Lifeline to Many**

Nupur's eyes glittered with dreams of living in Dhaka with her husband Noor Alam, as she had just completed training in sewing and knitting from the Payerabandh project of Bangladesh Knitwear Manufacturers and Exporters Association (BKMEA).

Her husband works in a garment factory in Dhaka Export Processing Zone. Nupur meets Alam once every three months when he comes home to Rangpur.

"I wanted to go to Dhaka earlier but my husband could not afford the living cost for two of us. So, I had to stay at my parent's home."

She joined the 45-day programme when she heard BKMEA is training unemployed men and women in her village.

"I'll be there in Dhaka within a week as BKMEA has already arranged a job for me at a garment factory there."

Another trainee, Selina, 45, who lives in Sathkhira, runs a family of two -- a daughter and a son -- as a single-mother. Her husband Shekh Abul Hossain walked out on her and married another woman six years ago. Her daughter was married off last year and the son, a class-V student, lives in the daughter's house.

Tears rolled down her cheeks as she spoke. "I hope my days of financial sufferings will come to an end. I'm going to join a garment factory soon." She pinned hopes on the training that made her ready for a new beginning in Dhaka, with her son.

Since its launch in 2008, BKMEA has trained 2,297 women, mostly from northern districts, in knitting, sewing and quality control in 27 batches, said Abdur Razzak, BKMEA's Payerabandh project coordinator.

Bangladesh Garment Manufacturers and Exporters Association has been providing jobs to these trained women in its 1,500 garment factories since the launch of the course, he said. BKMEA provides all-out support, including food and transport allowances to the trainees, Razzak added. "The organisation possesses every necessary machinery for the training." Earlier, the programme had been meant for the people in *monga* regions that include Rangpur, Kurigram, Lalmonirhat, Gaibandha, Nilphamari, Dinajpur, Thakurgaon and Panchagarh.

"This news of training and job opportunities spread very fast all over the country and attracted many others," Razzak said.

The training is held at Payera-bandh Memorial Complex, constructed in 1999. BKMEA appointed seven trainers for the trainees who live in dormitories inside the complex.

Even some graduates and post-graduates also took part in the training and landed good jobs in the capital, said the Payerabandh coordinator.

"Each batch now contains nearly 100 students. If the government constructs another spacious room on the campus, we can accommodate up to 150 students in a batch."

There are many BKMEA-trained hands who are now working in different garment factories in Dhaka, Narayanganj and Savar. Many of them are happy with their monthly earnings of around Tk 5,000. Only a few of them failed to adapt to the challenges outside their homes.

Another worker of Payerabandh union, preferring to be unnamed, said she came back from Dhaka over a fear of sexual harassment in workplace.

Source: Sunday, January 16, 2011

Questions

1. How BKMEA reduced the sufferings of poor people?
2. In which area BKMEA possess poverty reduction program?
3. How Payerabandh project works to alleviate the poverty?

Answer of True-False Questions

1	2	3	4	5	6	7	8	9	10
True	True	True	False	True	True	True	False	True	False

Answer of Fill in the Blanks

1	2	3	4	5
oldest	limited and unlimited	Owned and controlled	Partnership	Association
6	7	8	9	10
Deed	artificial	voluntary	Cooperation	Earning profit

Answer of MCQ

1	2	3	4	5	6	7	8	9	10
A	A	D	A	D	B	A	A	D	A

Chapter 07

Sole Proprietorship Business

Learning Objectives

After studying this chapter, you should be able:

- To know about the concepts of sole proprietorship
- To identify the characteristics of a successful sole proprietorship business
- To know about the way of starting a sole proprietorship business
- To discuss the ten risk related with sole proprietorship business
- To identify the different suitable area of sole proprietorship business
- To find out the present scenario of sole proprietorship business in Bangladesh.
- To identify the way of dissolution of sole proprietorship



Source: Internet

Strategic Challenges of Sole Proprietorship Business

Historically the sole proprietorship is the primary form of business which is owned and controlled by an individual. Sole proprietorship business is very easy to start but difficult to operate successfully in the complicated business environment. A sole proprietor owns and operates a business as an individual, not subject to conduct combined or government rules and regulations. A sole proprietor controls all aspects, assuming all the rewards, but also all the risks. A sole proprietorship business faces some internal and external challenges which are given below:

- A sole proprietorship business is owned and controlled by an individual. In this type of business any substantial debt or legal issues, the owner is personally liable. This business is bearing unlimited liability. Because owner is personally liable for paying all kinds of debt and liabilities of business.
- The owner of a sole proprietorship business enjoys the complete control on the business. For this reason he can collect finances, involve with promotional activities, control all operations, scheduling and more are all up to the owner. Sometimes this is too difficult to manage all activities by an individual in a sole proprietorship business.
- Sole proprietor is not keeping the record frequently. Sometimes he may be sold the product on credit but not writing in his record book. He neglects to create an efficient system that tracks invoices, receipts and other financial information. Without this, the viability of the business is at risk. Sole proprietors who manage business records and retain spending control are more likely to have success of his business.
- A sole proprietor must collect necessary funding to remain operational and to capitalize upon market developments. But collection and rising of fund is not so easy. Sole proprietor may face the difficulties for collecting and utilizing fund from the different sources and try to continue the business operations.
- A sole proprietor always faces the difficulty to use knowledge, skills and abilities in his business. Because owners do not possess full knowledge of all branches of a business and are bound to waste his energies in doing all activities. This is not possible to conduct the business properly along with the limitation of personal capacity.

Chapter Contents

- | | |
|---|--|
| 7.1 Introduction | 7.9 The Top Ten Risks in a Sole Proprietorship in Bangladesh |
| 7.2 Definition of sole proprietorship business | 7.10 Suitable areas for sole proprietorship business |
| 7.3 Characteristics of Sole proprietorship business | 7.11 Causes of popularity of sole proprietorship business |
| 7.4 Benefits of sole proprietorship business | 7.12 Causes to survival of sole proprietorship business side by side with large scale organization |
| 7.5 Demerits of sole proprietorship | 7.13 Scope and prospect of sole proprietorship business of Bangladesh. |
| 7.6 Importance of sole proprietorship business | 7.14 How to Dissolve a Sole Proprietorship Business in Bangladesh |
| 7.7 How to start a sole proprietorship business | |
| 7.8 The Negative and Positive Reasons for Being a Sole Proprietorship | |



Farms Advance, not Farmers (Trade Practices in BD)

Shykh Seraj is a journalist, media personality and an agriculture development activist. He has been working on agriculture issues over the last three decades. His investigative documentaries and in-depth reporting have pointed at solutions to various problems farmers in Bangladesh face. He sensitized farmers on the agriculture budget and subsidies given to them. At the age of 56, he visits remote areas, talks to farmers and reports on their sufferings. He promotes success stories and encourages young educated generations to engage in farming. His relentless efforts did not go in vain. He has been applauded and awarded by various national and international organizations for his outstanding activities. He received the prestigious United Nations FAO AH Boerma award in 2009 and Ekushey Padak as the youngest Bangladeshi. Seraj is also an Ashoka fellow. Last week, The Daily Star interviewed Seraj at his Channel i office, where he is a founder director and the head of news. He spoke on the upcoming budget, crop insurance, agriculture sub-sectors, farmers' forum, subsidies, disaster-tolerant seeds, and food security.

Source: The Daily Star, Thursday, May 19, 2011

Sumaya Kazi

Award-Winning Young Entrepreneur
International Speaker
Dreamer



Sumaya Kazi is an internationally recognized innovator, leader, speaker and award-winning entrepreneur. For her passion and success around her endeavors, Sumaya has been recognized by Business Week as one of America's "Best Young Entrepreneurs," CNN as a "Young Person Who Rocks," Silicon Valley Business Journal as a "Woman of Influence," and most recently by UTNE Reader

Magazine as one of "50 Visionaries Changing Your World."

She has been featured in over 150 newspapers, magazines, radio interviews, and television spotlights in top-tier outlets such as Newsweek, Business Week Magazine, CNN, ABC News and Washington Post. Sumaya frequently speaks at professional conferences and educational institutions inspiring audiences on topics such as entrepreneurship, non-profit work, intrapreneurship, young professional issues, social media, diversity and technology.

The Entrepreneur

Sumaya is the CEO & Founder of Sumazi, where her team is building the technology that intelligently connects you to the people you don't know but should, people that can potentially

sumazi
Connect Intelligently

change your world. Sumazi was selected from over 1,000 international applicants to compete at the prestigious Tech Crunch Disrupt Startup Battlefield where they won the Omidyar Network award for "Startup Most Likely to Change the World". Previously, Sumaya founded The Cultural Connect, an online media publishing company dedicated to spotlighting young success across different ethnic diasporas. The Cultural Connect was grown from one weekly e-magazine to five weekly e-magazines and has published over 800 interviews of awe-inspiring young professionals in the for-profit and not-for-profit industries to a readership in over 100 countries. Each weekly magazine delivered accessible, must-read profiles of the professional world's often overlooked population of driven, innovative, progressive and successful under-35 leaders to an expansive subscriber base of up-and-coming individuals of the same type.

the cultural connect
for the young, driven, and forward-thinking

For her passion and success around her entrepreneurial endeavors, Sumaya has been recognized by Business Week Magazine as one of America's 'Best Young Entrepreneurs', CNN as a 'Young Person Who Rocks', Color Lines Magazine as an 'Innovator to Watch in 2008' and has been recognized as a Who's Who of Global Emerging Leaders among many other notable accolades. Sumaya was recently honored to join Nobel Peace Prize Winner Muhammad Yunus in a 'Meeting of the Minds', the youngest invited.

The Professional



Sumaya spent the last five years at Fortune 500 Sun Microsystems, a company that developed the technologies that power the global marketplace. Sumaya was recruited by Sun at age 22 and quickly moved up in her positions in the Executive Communications, Worldwide Operations and New & Social Media teams. As a Senior Social Media Manager in its Global Communications group, Sumaya was charged with developing new and innovative programs to capture, expand and socialize new and evolving media, analyst and influencer communities. Recognized by her colleagues as well as by industry peers as a Social Media thought leader, Sumaya took her knowledge and expertise in the media world and integrated it within her work at Sun. Sumaya provided thought leadership and a young perspective on various issues for a major player in global business.



The Giver

Sumaya has a strong passion for progress and has been deeply committed to the nonprofit community for over 10 years. She has been actively volunteering in the areas of hunger, homelessness, blood donation, human rights, environment, and education.

Sumaya has served as an entrepreneur advisor for Businesses United in Investing, Lending and Development (BUILD), a nonprofit social venture that empowers



underprivileged and under-resourced high school students with an education in entrepreneurship.

Sumaya provides weekly support and guidance to a team of high school students in building their after-school business. Her team has won first place in the Business Plan Writing Competition hosted by Stanford University. Additionally, one of her mentees was recognized by the National Foundation of Teaching Entrepreneurship (NFTE) as its 'Young Entrepreneur of the Year'. Sun Microsystems has recognized Sumaya as one of its 'Top 25 Stellar Volunteers' worldwide.

Additionally, Sumaya is on the steering committee for the San Francisco Muslim Women's Giving Circle, a social justice and philanthropic organization.

Source: <http://sumayakazi.com/>

7.1 Introduction

Sole proprietorship business organization is the oldest form of business ownership. It is also the simplest and the most natural form of business. Its leading feature is that the individual carries on business exclusively and for himself. He invests his own capital. He is the supreme judge of all matters of the business. He makes his own decisions. He bears the entire risk of the business and derives the total benefit. He has almost unlimited freedom of actions. He may engage in any business. He chooses the business without any legal formalities. Unless he wishes to engage in certain types of business is requiring licenses. For example, if a man wishes to open a shoes shop, a grocery store he has collect some legal documents but not for all the area of operations. On the other hand to open a restaurant, the owner will have to collect a license from the Health Department of the Municipal Corporation. Capital of sole proprietorship is limited and liability is unlimited.

7.2 Definition of Sole Proprietorship Business

A Sole proprietorship or one man business is a form of business in which an individual produces independently with his own capital. Skill and intelligence is entitled to receive all the profits and assumes all the risks of ownership. Where a business undertaking is owned and controlled by one man with or without the help of his family members or a few employees. We can say this business is one man business and the owner is commonly called the sole proprietor or sole trader. It is also known as individual proprietorship or individual entrepreneurship.

Historically, this form of organization is the oldest form of business ownership. It is the most natural and simplest form of business organization in the world.

Some scholars' definitions are given below:

1. **Koontz and Fulmer:** "A Sole trader is a person who carries on business exclusively by and for himself"
2. **B.O Wheeler:** "Sole proprietorship is the form of business ownership which is owned and controlled by a single individual."
3. **R.M Hodgetts:** "A sole proprietorship is a business that is owned and controlled by a single individual."
4. **Professor Gloss and Baker said,** "A sole proprietorship is a business owned by one person and operates for his profit."
5. **James Stephenson:** "A sole trader is a person who

Snapshots

Business

Business is a set of legal activities for the purpose of earning profit.

Sole Proprietorship

Sole proprietorship is the form of business ownership which is owned and controlled by a single individual.

Proprietor

Owner; the person who holds title to property.

Owner

The person who has legal title to property; the person in whom ownership, dominion, or title of property is vested.

Proprietorship

Assets minus liabilities of an organization. It equals contributed capital plus accumulated earnings.

carries on business exclusively by and for himself".

6. **David said:** "A sole trader carries on business for his own profit bearing all risks"
7. **S.S. Sarkar:** "A sole trader is a person who sets up the business with his own resources manager of the business himself".
8. **M.C. Shukla:** "A sole proprietorship is a form of organization in which an individual provides independently with his own capital, skill and intelligence and is entitled to receive all the profits and assume all the risks of ownership"

From the above discussion we can say that the sole proprietorship is a business which is owned and controlled by an individual. The main types of business that take the form of sole proprietorship are retailers, hawkers, small grocery stores, bakery-confectioners, laundries small printing. So a sole proprietorship is owned and controlled by a single individual.

7.3 Characteristics of Sole Proprietorship Business

Sole proprietorship business is the oldest form of business ownership. It is different from other business organizations. Sole proprietorship business has some characteristics that differ from other organizations. **L. H. Haney** said regarding the characteristics of the sole proprietorship, "The individual entrepreneurship is the form of business organization on the head of which stands an individual as the one who is responsible, who direct sits operation, who alone runs the risk of the failure." The vital characteristics of sole proprietorship business are described below:

Characteristics of Sole Proprietorship Business

- | | | |
|----------------------------------|-------------------------------------|-----------------------------|
| 1. Single ownership | 5. No separate entity | 9. Flexibility in operation |
| 2. Easy formation | 6. Unlimited liability | 10. Universality |
| 3. Small capital | 7. Individual risk | 11. Personal control |
| 4. Self-management and direction | 8. Free from government regulations | 12. Uncertain stability |

Characteristics of Sole Proprietorship Business are discussed below:

1. **Single ownership:** A sole proprietorship is a business owned by one person and operated for his own profit where a business undertaking is owned and controlled by one man with or without the help of his family members or few employees.
2. **Easy formation:** Sole proprietorship business is the simplest and the most natural business organization because the individual carries on business exclusively by and for himself. It does not follow any of the rules and regulations to form and carry on the business.
3. **Small capital:** Sole proprietor invests his own capital and he is his own manager. So the amount of capital is very small.

Snapshots

Ownership

Exclusive right of possessing, enjoying, and disposing of a thing; often said to include the concepts of possession and of title, thus being broader than either.

Capital

Capital is the amount of cash and other assets owned by a business.

Sometimes the owner can collect capital money by borrowing from his relatives, friends and banks.

4. **Self-management and direction:** The full control of the business is totally on the owner. He is the supreme judge of all matters pertaining to it as he makes his own decisions. He bears the entire risk and derives the total benefits. He has almost unlimited freedom of actions.
5. **No separate entity:** in the eye of law, there is any separate entity of sole proprietorship business organization from the owner of the business. The entity of the owners is treated as the entity of the organization. Here the owner and the business organization are the same entity.
6. **Unlimited liability:** The owner of the sole proprietorship business has the unlimited liabilities. Because all kinds of profit or loss goes to owner of the business. For paying his loan, creditors can collect borrowed money or assets from the personal assets of the owner.
7. **Individual risk:** In the sole proprietorship business, there is no scope to distribute the risk to other holders. All of the risks of business have to bear by the sole proprietor. For this reason the owner is in the risky position all times.
8. **Free from government regulations:** Sole proprietor may engage in any business, he chooses without any legal formalities unless he wishes to engage in certain types of business requiring licenses.
9. **Flexibility in operation:** As the sole proprietor, he has the full control over his business and is the supreme judge in all matters. He can introduce changes as think and want to do.
10. **Uncertain stability:** Stability of sole proprietorship business is really uncertain. Its stability depends on the death of the owner, inability and desire of the proprietor. So the stability of sole proprietorship is very uncertain.
11. **Personal control:** The owner of sole proprietorship business is tried to control all the business activities. Since he is the supreme judge of all matters pertaining to it, he makes his own decision.

Snapshots

Directing

A basic management function that includes building an effective work climate and creating opportunity for motivation, supervising, scheduling, and disciplining.

Liability

A claim against the assets, or legal obligations of a person or organization, arising out of past or current transactions or actions.

Asset

Something valuable that an entity owns, benefits from, or has use of, in generating income.

Controlling

The management functions of checking to determine whether employees are following plans and progress is being met and of taking actions to reduce differences between performance and plans.

Decision making

The thought process of selecting a logical choice from the available options.

12. **Universality:** Sole proprietorship business is seen every country of the whole world. Every one prefers it for its characteristics and other facilities. This is the oldest form of business ownership. The formation, management and controlling of all activities of sole proprietorship of all over the world is remain same and universal.

From the above discussion we can say that the characteristics of sole proprietorship are mainly depend on the different sole proprietorship business. It is the oldest form of business organization; it has equal popularity to all over the world for its' easy formulation, management and quick decision making. Sole proprietorship business is very simple in nature. It is free from complexity. So it is very popular to all of the people.

7.4. Benefits of Sole Proprietorship Business

To identify the benefits of the sole proprietorship business, A. Jonne Samson and Mogill said, "The sole proprietorship satisfies perhaps best of all forms of business organization, the major incentive for a person business to go into business for him."

Snapshots

Motivation

Motivation is the process of fulfilling the needs, desires, concepts, aspirations and expectation of an employee on behalf of his service.

Leadership

Leadership is the process of encouraging, inspiring, motivating the followers or subordinates to do activities in an organization.

Credit

The ability to buy an item or to borrow money in return for a promise to pay later.

Finance

The art and science of managing money.

Operation

Series of functions and tasks that are involved in a single process. For example, a manufacturing operation.

General Advantages of sole proprietorship

The principal advantages of sole proprietorship organization are as follows:

1. **Easy formation:** An individual enterprise is easy to form and simple to run. No legal formalities like registration, clearance to start are required to set it up. Any person can engage in such a business, in anytime. The only restriction is that if he wishes to start certain types of business like, he will have to obtain a license, a restaurant or selling liquid products.
2. **Direct motivation:** The proprietor has a direct personal interest in the business which makes efficient and economy of owner. The direct relationship between effort and reward acts as a stimulus to maximize profit for a sole proprietor.
3. **Complete degree of control:** The owner of a sole proprietor is the sole master; he has complete controlling over his business. He is not responsible to anyone else actually no problem of coordination arise his own decisions that will make for re- conciliation of the various interest of the firm.
4. **Promptness in decision making:** Promptness in making decisions helps to increase efficiency. A sole trader being the supreme judge and sole master can

make a prompt decision and thereby take advantage for gaining maximum profit. Since there is no one else to dispute his judgment, he can also maintain a decision made by him.

5. **Maintenance of secrecy:** Secrecy is the vital factor for the success of a sole proprietor business. And sole owner is in an eminent position to keep his affairs to himself as there is no legal obligation to supply any information regarding his business to anyone he can maintain utmost secrecy in all matters.
6. **Catering for individual tastes:** Sole trader is in a position to be in close touch with his customers and to provide for their individual tastes. This helps him to build up goodwill for himself. The individual owner flourishes in all enterprises where the personal element is important.

Social Advantages of sole proprietorship

The Sociological significance of sole proprietorship in the form of a small shop consents in rendering some important, may, indispensable services to the community and at the same time providing the basis of independent livelihood.

1. **Independent way of life:** The form of organization provides a way of life for those who take pride in ownership and control of what they own such persons are obviously of independent spirit and would not care to serve under others. It gives him an opportunity to utilize his capacity to the maximum and to enjoy freedom of actions.
2. **Generation of social virtues:** It affords a form of life and work which permit a high degree of self-determination. The enjoyment of purposeful work, the worth of social contact and a well-integrated family and respectable life. It also develops the qualities of self-reliance responsibility and initiative which are of great social importance.
3. **Diffusion of business ownership:** As under this form of organization, very small number of people must own and manage vast number of business units; specially one is owned and controlled the business. It makes for diffusion of business ownership on against concentration of power in a few hands offered by a Joint Stock Company.

In conclusion it may be safely stated that individual control is the best from the point of view of efficiency and profitability, provided that one man is enough to manage everything independently. It is also almost certain that individual proprietorship is in no danger of being crowded out by large corporations, because of the numerous opportunities.

Snapshots

Ability

An acquired or natural capacity or talent that enables an individuals to perform a particular job or task or successfully. See also aptitude.

Organization

A social unit of people systematically structured and managed to meet a need or to pursue collective goals on a continuing basis.

Management

Management is the art of getting things done through the efforts of other.

Top 10 Survival Strategies for Small (Sole Proprietorship) Business

1. **Focus completely on satisfying customers:** Develop a true customer focus. Understand that customers always go where they get good value, they go where they are treated well, and when the value isn't obvious or when the level of service slips, the customer slips away. Identify your target customer; the more you know about your customers, the easier it is to serve them well.
2. **Study the success of others:** If you want to be a smart businessperson, study smart businesses. The smart ones ask a lot of questions, keep their eyes wide open, and adapt good ideas whenever they can. Study the competition, learn from your peers, and consider every situation you encounter as an opportunity to gather ideas to use in your business.
3. **Gather and analyze management information regularly:** You need strategic information on your own business in order to know what's really going on and to make wise decisions based on accurate, timely information. Use whatever technology you have, even if it's manual, to collect information in the following four areas: financial information, customer information, industry information, and market trends.
4. **Sharpen marketing skills:** Marketing must consider your price levels, your product offerings, your place or location relative to the customer and their daily routines, your promotion efforts, your people (working in the store), and your positioning within the market. All of these are important, but you have to decide what you will focus on and what customers are most sensitive about. Remember, marketing is learned by doing.
5. **Increase the customer's perception of value:** Value is not the same as price. It also includes considerations of quality (are your products better?) and quantity (do you offer more than others?). But most customers are somewhat price sensitive. Instead of across-the-board markup, small retailers should consider variable pricing strategies.
6. **Position the business uniquely:** You aren't one of the big guys, so don't try to be just like them. Position yourself in areas where big business cannot compete with you, like friendliness and customer bonding. Where can you say, "We're better because...?"
7. **Eliminate waste:** Plan your spending. Keep a budget. Constantly compare your budgeted and actual figures to learn where costs are going. Aim to bring operating expenses to less than 20% of sales. Every dollar saved from current operating costs goes directly to your bottom line. Time is money, and eliminating time wasters saves you money. Don't hesitate to spend in areas that will certainly help you earn much more. Those aren't wasteful costs.
8. **Find something to improve every day:** Make it a formal goal to improve one aspect of your business every day, no matter how small. The Japanese call it

kaizen, but there are hundreds of ways to do this.

9. **Embrace change with a positive attitude:** Having a positive attitude is consistently one of the common factors of success. You must not fear change; change is your friend. As you continually improve, you'll be embracing change. Enjoy the ride!
10. **Pull the trigger and start the battle:** Some people stay on "Ready, aim, aim, aim-." You must learn to take action quickly and also cut losses when you're wrong. Go ahead and pull the trigger rather than wait for the perfect shop -- it never comes. Try something. If it doesn't give you perfect results, adjust your aim and fire again.

Source: <http://www.vital-connections.com/>

7.5 Demerits of Sole Proprietorship Business

Despite so many advantages in both economic and social, one man business or sole proprietorship business suffers from some serious limitations. The limitations of individual proprietorship are as follows:

Demerits of Sole Proprietorship Business

- | | | |
|-------------------------------|---|------------------------------------|
| 1. Limited amount of capital | 5. Lack of advantages of large scale organization | 8. Autocracy |
| 2. Limited management ability | 6. Poor management system | 9. Limitation of personal capacity |
| 3. Unlimited liability | 7. Limited opportunities for the employees | 10. Lack of social reputation |
| 4. Uncertainty of continuity | | |

The demerits of sole proprietorship business are discussed below:

1. **Limited amount of capital:** The first limitation of sole proprietorship is the limited amount of capital. The amount of capital of a sole proprietor is very limited which may not conduct the business perfectly.
2. **Limited management ability:** An individual, despite being capable, cannot be expected to possess full knowledge of all branches of a business. Since being alone he has to put on his fingers on everything.
3. **Unlimited liability:** The liability of the proprietor is unlimited. It is not only the assets of the business that are liable, but also his entire personal fortune for the debts of the business.
4. **Uncertainty of continuity:** It is difficult to maintain the sole proprietorship business permanently. When the proprietor dies or is no longer be able to run the business, the business may come to an end if there is no one to take his place.
5. **Lack of advantages of large scale organization:** The amount of capital that a sole proprietor gets together must be limited. As a result, he cannot expand his business when it is necessary to take advantage of economies of large scale operation.

6. **Poor management system:** The owner is the manager of the sole proprietorship business. Most of the time it is seen that the owner is not efficient about managerial knowledge. Sometimes he takes wrong decision which increases the cost of production and decreases his profits.
7. **Limited opportunities for the employees:** Most of the cases, the owner of sole proprietorship is conducted business individually. The amount of capital of sole proprietorship business is very small. So the owner cannot provide various opportunities for the employees. As a result, employees want to turnover to another organization.
8. **Autocracy:** In sole proprietorship business, owner is the person of every authority. So he has the supreme power to take any kind of decisions. Sometimes he may make wrong decision. Then nobody may advise him. He plays an autocratic role that may be harmful for the business organization.
9. **Limitation of personal capacity:** The owners do not possess full knowledge of all branches of a business and are bound to waste his energies in doing all activities which could best be left to others in a partnership or a company. As a result, it is not possible to conduct the business properly for limitation of personal capacity.
10. **Lack of social reputation:** Since sole proprietorship business has no legal entity, the owner has less social reputation. Sometimes people do not accept this type of business very positively.

From the above discussion we can say that sole proprietorship business is one man controlled business which is the best from the point of view of efficiency and profitability but limited capital, managerial inability, unlimited liability of the owner act as brakes to the development and expansion of business.



7.6 Importance of Sole Proprietorship Business

Every country of the world depends on sole proprietorship business to improve its economic condition. People can start this type of business very easily. Now-a-days about 85% of business organizations of the world are conducted as like the sole proprietorship category of business. The livelihoods of human being are mostly depending on business. Sole proprietorship is the important part of business for generating income for the people. The Importance of sole proprietorship business activities are as follows:

Importance of Sole Proprietorship Business

- | | | |
|------------------------------------|---|-------------------------------------|
| 1. Maintaining of livelihood | 5. Creating demand of the goods | 10. Proper field of training |
| 2. More service render | 6. Financial facilities | 11. Creating business environment |
| 3. Proper utilization of resources | 7. Employment | 12. Expansion of trade and commerce |
| 4. Greater distribution of goods | 8. Increasing national income | 13. Social relationship |
| | 9. Enhancement of social status and dignity | |
| | 10. Adjustment with the changing demand | |

The demerits of sole proprietorship business are discussed below:

- 1. Maintaining of livelihood:** To conduct sole proprietorship business, the owner does not need more capital and employees. As a result, people can establish this type of business anywhere of the country and can earn their livelihood easily. Sole proprietorship business spreads very quickly all over the world with creation of self employment.
- 2. More service render:** Sole proprietorship business renders various services for the society. People can get their daily necessities in their nearest places by sole proprietorship business.
- 3. Proper utilization of resources:** Sole proprietorship business plays a great role to utilize the natural resources properly. Sole proprietorship business supplies raw materials to the industry for creating utilities.
- 4. Greater distribution of goods:** Sole proprietorship business helps to distribute the goods and services to the consumers. By using this channel, producers of the goods and services can distribute their products to the desires consumers.
- 5. Creating demand of the goods:** To create demand of the goods, sole proprietorship business plays an important role. Normally sole proprietorship business sells the products to the consumers. As a result, a direct relationship between the businessman and consumers is established. So he can provide

Snapshots

Demand

The quantity of a product that consumers will purchase at various prices.

Training

The process of acquiring knowledge skills and abilities for performing the present job.

Development

The process of acquiring knowledge skills and abilities for performing the future job.

Environment

The sum total of all surroundings of a living organism, including natural forces and other living things, which provide conditions for development and growth as well as of danger and damage.

Business environment

The factors or forces or institutions which have directly or indirectly and negatively or positive influence on the business organization.

information about the products to the customers and also about customers to the producers. Both the parties are benefited by sole proprietorship business.

- 6. Financial facilities:** Sole proprietors sell their products by overdue to the customers. Sometimes customers buy the products on due and pay the bill monthly. As a result, customers become beneficial by the sole proprietor.
- 7. Employment:** Sole proprietorship business is a great source of employment. Approximately, 85% of the people of a country are involved in this type of business. The owners and the employees can earn their livelihood by this business. For this reason unemployment problem is reduced through sole proprietorship business.
- 8. Increasing national income:** The owner of the sole proprietorship business not only earns his own income but also increases the national income of the country. Sole proprietorship business plays an important role in increasing the national income of the country.
- 9. Enhancement of social status and dignity:** By forming and conducting the sole proprietorship business the owner of this business increases his assets and his living condition is also increased. As a result, his social status and dignity is also enhanced.
- 10. Adjustment with the changing demand:** The owner of the sole proprietorship business knows the demand of his customers. So he can change his business easily according to the demand of his customers. As a result, customers easily get their desired products or services from sole proprietorship business.
- 11. Proper field of training:** To be a good businessman one person needs a proper field of training. Sole proprietorship business is a platform from where the people can learn or gain experience about business.
- 12. Creating business environment:** To create a proper business environment in a country sole proprietorship business plays an important role. A sole proprietorship business can be established everywhere of a country that creates a business environment.
- 13. Expansion of trade and commerce:** Sole proprietorship business plays a great role to expand the trade and commerce widely. From sole proprietorship business people gain experiences that influence the people to be a great businessman. By this way trade and commerce are expanded all over the world.
- 14. Social relationship:** Sole proprietorship business is established in the remote corner of the country. All people come to the business organization to get their desired products and services. As a result, a good relationship is established between the customers and the businessman.

From the above discussion we can say that sole proprietorship business is essential for the society. All of the people of a country are benefited by this type of business. So the importance of sole proprietorship business in our country cannot be measured.

7.7 How to Start a Sole Proprietorship Business in Bangladesh

The business which is owned and controlled by an individual is called sole proprietorship business. The starting of a sole proprietorship business depends on willingness of an owner. A sole proprietor needs not to collect different documents for starting sole proprietorship business. A sole proprietorship and the business owner do not have a separate existence from one another. The steps to be needed for starting a sole proprietorship business are as follows:

Step-1: Giving Proper title of the business

Step-2: Registration of the business name and taking the license

Step-3: Process of information investigation

Step-4: Getting license of business starting

Step 1: In the first step, the owners try to select name of the business. Sometimes name is the important factor for starting business. In a village of Bangladesh, most of the sole proprietorship business is starting without specific name.

Step 2: Register the business name with the city corporation office or taking trade license from the proper authority. Some information to be provided for getting registration of a sole proprietorship business such as business name, your name, your address and the business description. Pay the registration fee which may vary from village to city of Bangladesh.

Step 3: The authority need to take few days for checking and investigating about the information. If the authority is satisfied then provide license.

Step 4: After

getting license few business will be started. Some

business needs not to get license for starting sole

proprietorship business in Bangladesh.

By following the above steps consequently, a well formatted sole proprietorship can be formed.



7.8 The Negative and Positive Reasons for Being a Sole Proprietorship

An entrepreneur can choose from many different business structures, including a partnership, a joint stock company, cooperative society and a sole proprietorship. If the entrepreneur chooses to start a sole proprietorship, he can expect different challenges. An entrepreneur needs to be familiar with the negative and positive reasons for starting and conducting a sole proprietorship business which are as follows:

- 1. Liability:** A sole proprietorship does not have the liability protection that may have in the joint stock company. For all kind of activities, owner personally taking responsibilities of business. The owner is also personally liable for business debts and any losses that the business incurs. The sole proprietor can also be liable for any damages or injuries caused by her/his employees.
- 2. Legal structure:** Establishing a sole proprietorship is simple and inexpensive. The business owner can use his own name as the business identification. Sometimes he/she can collect registration and trade license from the proper authority. The sole proprietor only needs to register his business at the local government permits and licenses office to begin conducting business.
- 3. Direction:** When an entrepreneur uses a sole proprietorship as a business format, he/she has no shareholders, board of directors or partners involved. The direction of the business is completely at the discretion of the sole proprietor. The owner of sole proprietorship gets the opportunity to see his/her ideas put into action and result in business success.
- 4. Financial benefits:** The owner of a sole proprietorship determines how much money to be needed for starting and earning a lot of profit from the business. All the income of a sole proprietorship goes to owner of business. In a sole proprietorship, the owner takes on the financial burden of the hard times but can also get the rewards of business.

Form the above discussion we can say that there are few positive and negative reasons may have starting and conducting sole proprietorship business. After all sole proprietorship business is highly popular in Bangladesh because of easy operations.

vision without
action is a
daydream.
action without
vision is a
nightmare.

7.9 Top 10 Risk of Sole Proprietorship Business in Bangladesh

A sole proprietorship is a single owner business entity typically owned and operated by one individual. The risks which involved with a sole proprietorship are as follows:

1. **Personal liability:** Sole proprietor is individually liable for the debts of his/her business. A business creditor who successfully for nonpayment may be awarded the proprietor's personal assets.
2. **No safety net:** A sole proprietorship is as business which is very easy to entry and easy to quit. That is why his income is not highly secured.
3. **Scarcity of health insurance:** Most of sole proprietor is not taken any health insurance in Bangladesh. Though the owner may operates his business in a risky place or sometimes unhealthy environment.
4. **Burnout:** Unless he has others working for him, the sole proprietor may have to work long hours and run the entire business by himself; sometimes morning till midnight. That is why this may take a huge form of mental and physical pressure. This could result in burnout, reducing his effectiveness and productivity.
5. **Obtaining capital:** A crucial experience of a sole proprietor is to collect necessary funds to keep the enterprise running. He/She has no business partners to provide financial support and banks will likely be reluctant to lend him/her more money, especially if the operation is not doing well.
6. **Losing investment:** Most of the time sole proprietors in Bangladesh may use their own money to provide initial funding for the enterprise. If the business losing quickly, the proprietor may not be able to recover his initial investment.
7. **Injured liability:** A sole proprietor is personally liable to debtors, sole proprietors can be held accountable for injuries they cause in the course their business.
8. **Lost opportunity:** A sole proprietor may give up a lucrative career to pursue his dream. If the business fails, it may be difficult to return to his previous career as his expectation.
9. **Strained relationships:** Starting a business can put on a strain on familiar relationships. The business owner may need to spend huge time and energy operating the enterprise, leaving little time to devote to family life.
10. **Tax mismanagement:** A sole proprietorship is needed to provide tax to the government from his taxable income. But in the real life situation, the Scope of tax is very narrow here.

7.10 Suitable Areas for Sole Proprietorship Business in Bangladesh

Because of peculiar features of sole proprietorship business, as a form of organization is suitable for and is adopted by, enterprises.

Suitable Areas for Sole Proprietorship Business

1. Business of small capital	6. Product of local and limited demand	11. Business of minimum risks
2. Products of flexible demand	7. Business of perusable goods	12. Daily accessories
3. Professional or service business	8. Direct service rendering organization	13. Personal supervision
4. Seasonal business	9. Business of agricultural products	14. Necessity of making quick decisions
5. Small business	10. Free attitude	

A great description of suitable areas of sole proprietorship business is given below;

1. **Business of small capital:** The unit of product is low priced and to conduct the business needs small amount of capital. That type of business is conducted by the sole proprietor such as - tea stall and grocery shop, etc.
2. **Products of flexible demand:** The demand of the products is changing every time. That type of business is suitable for the sole proprietors. This businessman needs direct relationship with their customers. The examples of that type of business are tailoring, furniture shops etc.
3. **Professional or service business:** The business which is established and conducted by personal service and advices is suitable for the sole proprietorship businessmen such as doctors, law business etc.
4. **Seasonal business:** The business which is very seasonal is established by the sole proprietors. Examples of these businesses are fair and exhibition shops etc.
5. **Small business:** The area of that business which is very small is suitable for the sole proprietorship business. Such types of business are the factory of creating small things like toys, dolls etc.
6. **Product of local and limited demand:** The products which are low demanded are produced by the sole proprietorship business. Normally the local people are the customers of these types of goods and services such as the shops of fish and vegetables etc.
7. **Business of perusable goods:** The perusable goods and the products that are not long time stable are appropriate for the sole proprietorship business. Examples of those types of business are fish, fruits, milk, shops, etc.
8. **Direct service rendering organization:** The organizations from where direct services are provided to the customers are established by the sole proprietor, such as-tutorial home, barber's shop etc.

9. **Business of agricultural products:** Normally the businesses which are agricultural products based are conducted by one person.
10. **Free attitude:** The people who want to earn their livelihood freely and feel boredom to work under his owner involvement in the sole proprietorship business.
11. **Business of minimum risks:** The businesses that are little risky but people can earn more profit are suitable for the sole proprietors these types of business are business of paddy, rich, flour etc.
12. **Daily accessories:** The business organizations which involve with the business of daily used products are normally formed by the sole proprietors, such as grocery shop.
13. **Personal supervision:** The business which needs the direct supervision of the owners should be conducted by the sole proprietors. Examples of those types of business are books stall, restaurant etc.
14. **Necessity of making quick decisions:** There are some businesses that need quick decision to continue the business activities. Need the presence of owners every time. And more owners make the decision making process complex, that types of business should be formed by one man such as fruits, vegetables shop etc. these are the suitable area where sole proprietorship can attain its objectives.

From the above discussion we can say that take the form of sole proprietorship are retailers, hawkers, small grocery stores, bakers, confectioners, launders, small printing house, Small machine shops, and thousands of similar enterprises. And professional firms such as solicitors, attorneys, accountant's photographers, and hair dressers etc.

7.11 Causes of Popularity of Sole Proprietorship Business in Bangladesh

Everywhere in the world sole proprietorship business is popular. Now-a-days the numbers of large enterprises are increasing but the number of the sole proprietorship business is also increasing. About 85% of the total business organizations are sole proprietorship business. The main reason of its high popularity is small amount of capital and easy formation procedures.

Causes of Popularity of Sole Proprietorship Business in Bangladesh

- | | | |
|--------------------------------|---|-----------------------------------|
| 1. Easy formation procedure | 7. Advantages of direction and management | 11. Increase individual wealth |
| 2. Investment of small capital | 8. Direct motivation | 12. Tax facilities |
| 3. Minimum risk | 9. Complete degree of control | 13. Minimum government regulation |
| 4. Flexibility in operations | 10. Credit standing | 14. Ease of dissolution |
| 5. Maintenance of secrecy | | |
| 6. Independent way of life | | |

The causes of popularity of sole proprietorship business are described below.

1. **Easy formation procedure:** A sole proprietorship enterprise is easy to form and simple to run. No legal formalities like registration are required to set it up. Any

person can engage in such a business at his/her will. The only restriction is where he wishes to start certain types of business. In that case, he will have to obtain a license.

2. **Investment of small capital:** A small amount of capital is needed to form a sole proprietorship business. The owner can invest in his business as his ability. But other business organization need large amount of capital for this reason sole proprietorship business is popular in every country.

Snapshots

Dissolution

End of the independent existence of a firm, brought about by consolidation or merger, creditors, government, or the shareholder.

Tax

Compulsory monetary contribution to the state's revenue assessed and imposed by a government on the activities, enjoyment, expenditure, income, occupation, privilege, property, etc., of individuals and organizations.

3. **Minimum risk:** Minimum risk is another reason of the popularity of sole proprietorship business. The owners conduct the business, so he runs the business very carefully. As a result risks are reduced in this type of business.
4. **Flexibility in operations:** As the proprietor has the full control over his business and is the supreme judge in all matters, he can introduce changes as per the need of occasion demand, and without any delay.
5. **Maintenance of secrecy:** Secrecy is the vital importance for the popularity of a small business, and a sole proprietor is in an eminent position to keep his affairs to himself. As there is no legal obligation to supply any information regarding his business to any one, he can maintain utmost secrecy in all business operations.
6. **Independent way of life:** This form of organization provides a way of life for those people who take pride in ownership and control of what they own. Such persons are obviously of independent spirit and would not care to serve under others. It gives him an opportunity to utilize his maximum capacity and to enjoy freedom of actions.
7. **Advantages of direction and management:** The owner of the sole proprietorship business conducts management related activities. As a result, mismanagement cannot occur. Owner can easily continue the business because of its small size.
8. **Direct motivation:** The owner has a direct personal interest in the sole proprietorship business which makes for efficiency and economy. Indeed the direct relationship between effort and reward, action as a stimulus to maximum exertion for a sole proprietor.
9. **Complete degree of control:** Another reason of the popularity of sole proprietorship business is complete degree of control the business by the owner. A sole proprietor is the sole master of his business; he has complete control over the business.
10. **Credit standing:** The fact of large popularity and wide customers coupled with unlimited liability to grant him liberal credit. The assets of the firm along with his

resources outside the firm will all help to build up his credit worthiness. As a result that the suppliers and other institution will readily extend him credit.

11. **Increase individual wealth:** Another important reason of popularity of sole proprietorship business is to increase individual wealth. The owner can increase his personal wealth by his profit earning from sole proprietorship business.
12. **Tax facilities:** Sole proprietorship business enjoys tax facilities. Because a little amount of tax has to be given by sole proprietor. Sometime they provide the minimum limit of tax to the government.
13. **Minimum government regulation:** The activities of a sole proprietor are not regulated by government and low to the minimum extent. In fact his rights and obligations are the same as of any other citizen. For this reason people like to involve in this type of business.
14. **Ease of dissolution:** The formation and dissolution of the business are not subject to any government regulation in this form of business organization. So people are interested to form this type of business.

For these reasons sole proprietorship business is popular all over the world. On the other hand, the sociological importance of sole proprietorship business in the form of small shop consists in rendering some important services to the community and at the same time providing the basis of an independent livelihood for the owner. As a result sole proprietorship business established and conducted everywhere of the world with huge popularity.

7.12 Causes to Survival of Sole Proprietorship Business with the Large Scale Organization in Bangladesh

British economist E.F. Schumacher said, "Small is Beautiful." Sole proprietorship business is not only small but also has utilities. For this reason sole proprietorship business is survived in the world with the large scale organization. The main reasons to survival of this business side by side with the large-scale enterprise are described below:

1. **Ease of formation:** A sole proprietorship business is easy to form and simple to run. No legal formalities like registration are required to set it up. Any person can engage in such a business at his/her will. But other business organization must be needed some legal formalities. So many people like sole proprietorship business for the reason easy formation.
2. **Independent way of livelihood:** The sole proprietorship is the form of organization which provides a way of livelihood for those who take pride in ownership and control of what they own. Such persons are obviously of independent spirit and would not care to serve under others. The sole proprietor is

his own master and manager, and this fact generates the greatest possible satisfaction.

3. **Business of Small capital:** There are many people who have very small size of capital; they cannot operate a large enterprise. Sole proprietorship business needs very small amount of capital, so proprietors can form sole proprietorship business easily. This is another important reason for existing this business side by side large enterprise.
4. **Maintenance of secrecy:** Secrecy is the vital importance for the success of a sole proprietorship business. A sole trader is an eminent position to keep his affairs to himself.
5. **Flexibility of demand:** As the owner has the full control over his business and is the supreme judge in all matters. So he can introduce changes as per requirement of occasion demand and without any delay. Hence, there is a great deal of flexibility in policy making in this type of organization.
6. **Lower of risk:** In sole proprietorship business risk rate is lower than other organizations. So people do not want to dissolve this type of business. They continue the business operation ahead.
7. **Advantages of location:** Sole proprietorship business exists in the world side by side the large scale organization for its location advantages. Large scale organization cannot be formed any small city or village. But this one man business can be established all over the country. It is very important facility of sole proprietorship business.
8. **Diversity of fields:** Diversity of field is another important reason to survive the sole proprietorship business in the world. There are many fields in the business world where only sole proprietorship business can run.
9. **Quantity of demand:** There are many products which demand are very low, that types of business are suitable for sole proprietorship business. In this sector large scale of organization cannot run.
10. **Service rendering organization:** In the service rendering organization sole proprietorship business is the best organization. Because most of the cases the owner must be present to provide services. The examples like this type of business are law business, accountancy etc.
11. **Professional business:** In the professional business sector, sole proprietorship business plays important roles than other business organizations which are very rare in the business sector.

12. Minimum government regulation: Partnership business and company enterprise need to follow some complex government regulations. But the activities of a sole trader are regulated by government and law to the minimum extent. In fact his rights and obligations are the same as of any other citizen. For this reluctance of government regulations of formation and dissolution sole proprietorship business run in the world side by side large scale organizations.

13. Establishing personal relationship: There are many sectors where need to direct personal relationship with customers. If the businessman can keep good relationship with customers then he can earn more profit. In the sector of sole proprietorship business is suitable to keep good relation with the consumers.

14. Advantages of management: In the large scale of business organization, it's very difficult to maintain proper management policy. To maintain proper management policy is very difficult. But these types of problems are not seen in the sole proprietorship business because the owner is the manager of this business. To get advantage of management people like to involve sole proprietorship business.

These are the reasons for which sole proprietorship business survive side by side the large scale organization. For the diversity of work, nature of products, amount of capital and limitations of demand etc. are the vital reasons to exist sole proprietorship business.

7.13 Scope and Prospects of Sole Proprietorship Business in Bangladesh

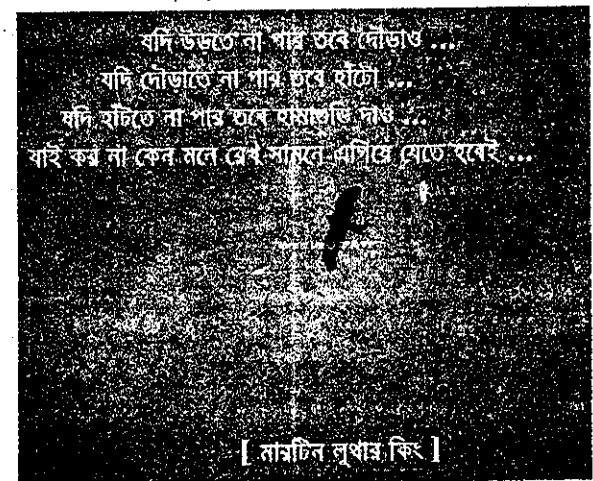
It is a common place that single proprietorship businesses are the most numerous in Bangladesh at everywhere. Large corporations and companies business have entered in the field. It is also almost certain that individual proprietorship is in no danger of being crowded as like large corporations. The opportunities offer to a vast number of people through the sole proprietorship business. It is true that large corporate enterprises have certain advantages inherent in large scale operations. Yet a small entrepreneur possesses advantages which in some circumstance will allow him to compete successfully against a large manufacturer or trader. The following factors show that single proprietorship business will continue to hold intact its position in the business world in face of large corporation. The prospects of sole proprietorship business in Bangladesh are as follows:

1. Normally, a business is started as a one-man venture because of the many advantages it offers as the proprietor makes a success of it and faces with the problem of expansion. In business of sole proprietorship, the capital needs not very

vast amount, he wishes to preserve secrecy and family character of his business he will form a private company.

2. The proprietor is closely in touch with details with the customers, and results are quickly known, the advantages of economic viability, direct motivation, and personal contact inherent in individual proprietorship sustain one man business along with giant concerns. As a result, in the field of distribution in particular this form of organization continues to flourish all over the world along with all area of Bangladesh.
3. In the field of production, there are certain industries which can run successfully only on a small scale business. For instance, industries whose production cannot be standardized and established which attempt to make prediction to suit the different tastes of consumers can best be owned and run by individual proprietors. Such industries produce customized art goods, handicrafts, and daintily bound books etc.
4. In Bangladesh the government has been encouraging individual owners to take up small manufacturing activities by setting up industrial establish and by providing training facilities as well as by granting financial assistance. The National Small Industries Corporation has been rendering a useful service in the direction to establish and manage small scale enterprises.
5. The vast majority of the service enterprises like transport and warehousing are normally organized an individual proprietorship owner. Such as chartered accountants, lawyers can function as sole proprietors or partnerships.
6. The people of our country normally like to live freely and independently. For this reason people start sole proprietorship business.

At last we can say that for many reasons sole proprietorship business in our country cannot be established widely. If government takes some measures then this sector will be wider and people will be encouraged to establish this type of business.



7.14 How to Dissolve a Sole Proprietorship Business in Bangladesh

A sole proprietor is not legally able to be separated from the businesses. This simply means that the owner is personally responsible for all business debts and liabilities. The steps to be needed for dissolving sole proprietorship business in Bangladesh are as follows:

Step-1: Collection of retained earnings from customers
Step-2: Informing the clients about the dissolution of business
Step-3: Payment of debt or loans to others
Step-4: Canceling the license
Step-5: Closing the business bank account
Step-6: Giving notice to the landlord office
Step-7: Selling off the rest of the equipments
Step-8: Closing the business

Step 1: Collecting all moneys owed to the business from customers and clients. Sometimes all money may not be collected just before dissolution of sole proprietorship business.

Step 2: Waiting until all receivables are paid, then inform customers and clients that you will be going out of business. The owner may inform to other businessmen for quitting his business. It is polite and good form to include your contact information and invite clients to call if they have questions or concerns for the next time.

Step 3: Paying any loan or debt to

another people or financial institutions.

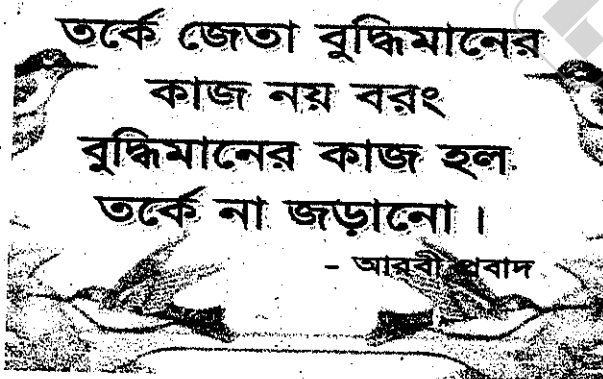
Step 4: Canceling or simply allow business licenses to expire. A sole proprietor should have a business license that is renewed on an annual basis from the city corporation office.

Step 5: Closing any business bank accounts and bank accounts that are in your business' name. Pay off and cancel any business credit cards.

Step 6: Giving the notice to your office's landlord if you do not work out of your home and pay all required rent.

Step 7: Selling off any equipment that you do not wish to keep in your hand.

Step 8: Closing the business.



- Business
- Sole
- Proprietor
- Commerce
- Ability
- Suitability
- Capital
- Finance
- Tax
- Popularity
- Entrepreneur
- Banking
- Investment
- Dissolution

Short Questions:

1. What do you mean by Sole Proprietorship Business?
2. Does the formation of the Sole Proprietorship Business easy in Bangladesh?
3. For what kind of product the Sole Proprietorship Business is popular?
4. What are the main causes of the popularity of Sole Proprietorship Business in Bangladesh?
5. Does the Sole Proprietorship Business hold any separate entity except the owner?
6. Find out the legal formalities to start the Sole Proprietorship Business.
7. What are the main risks of Sole Proprietorship Business?
8. What are the suitable areas for the Sole Proprietorship Business?
9. What steps are included in the Sole Proprietorship Business dissolving?

Broad Questions:

1. What is sole proprietorship business? Discuss the characteristics of it.
2. In the perspective of Bangladesh, what type of merits can bring the sole proprietorship business?
3. What are the main risks of establishing the sole proprietorship business in Bangladesh?
4. Which fields would you like to recommend as the suitable areas for sole proprietorship business?
5. What are the negative and positive reasons for being a Sole Proprietorship?
6. How to start a sole proprietorship business?
7. What are the causes to survival of sole proprietorship business side by side with large scale organization?
8. Discuss the scope and prospect of sole proprietorship business of Bangladesh.
9. What do think about the causes of popularity of sole proprietorship business?
10. How to dissolve a sole proprietorship business in Bangladesh?

True – False

1. Sole proprietorship business organization is the oldest form of business ownership.
2. There is no separate entity of sole proprietorship business organization from the owner of the business.
3. All the liabilities of the sole proprietorship business have to bear by the owner.
4. The liability of the proprietor of sole proprietorship business is limited.
5. Most of the time it is seen that the owner is not efficient about managerial knowledge.
6. In the establishment of sole proprietorship business the owners need huge capital and employees.
7. Sole proprietorship business do not create source of employment.
8. It is difficult to maintain the sole proprietorship business because of difficult formation.
9. Sole proprietorship business need to follow some complex government regulation.
10. Single proprietorship businesses are the most frequent business in Bangladesh.

Fill in the blanks

1. Sole proprietorship business organization is the _____ form of business ownership.
2. Capital of sole proprietorship is _____ and liability is _____.
3. A sole proprietorship is a business that is _____ and _____ by a single individual.
4. In the eyes of law there is no separate _____ of sole proprietorship business from owner.
5. In the sole proprietorship business there is no scope to _____ the risk on other solder.
6. The _____ of sole proprietorship business invests capital to the business.
7. _____ is the vital factor for the success of a small business.
8. The product _____ per unit of a sole proprietorship business is relatively low.
9. The popularity of sole proprietorship business is small amount of _____.
10. The _____ and _____ of the business are not subject to any government regulations.

Multiple Choice Questions

1. The formation of sole proprietorship business is:
 - a) Easy
 - b) Complex
 - c) Registered
 - d) Not registered
2. Which is the characteristics of sole proprietorship Business
 - a) Single ownership
 - b) Hard Formation
 - c) Large capital
 - d) Controlled by others
3. What is Social Advantages of sole proprietorship-
 - a) Catering for individual tastes
 - b) Credit Standing
 - c) Minimum Governmental regulation
 - d) Independent way of life
4. Sole proprietorship business create employment of Bangladesh in percent-
 - a) About 70%
 - b) About 85%
 - c) About 90%
 - d) About 65%
5. Which one is not feature of individual or sole proprietorship form of organization?
 - a) One man ownership
 - b) Personal control
 - c) Total or undivided risk
 - d) Limited liability
6. Which is the cause of popularity of Sole proprietorship business in Bangladesh?
 - a) Easy formation procedure
 - b) Investment of high capital
 - c) High Risk
 - d) Complexity in operations
7. Suitable areas of sole proprietorship business is-
 - a) Business of large capital
 - b) Products of high Demand
 - c) Non-professional Business
 - d) Seasonal Business
8. Main cause to fail sole proprietorship business is
 - a) Neglect
 - b) Fraud
 - c) Lack of experience
 - d) Lacking of managerial ability
9. In sole proprietorship business decisions are taken by-
 - a) Managers
 - b) Government
 - c) Owners
 - d) Relatives
10. Sole proprietorship business is popular in:
 - a) Developed countries
 - b) Poor countries
 - c) Developing countries
 - d) Highly developed countries

Answer is given on page 234

Case Study-1

Govt. Plans to Boost Agro Marketing



Farmers do not get fair prices due to a lack of an effective policy. Photo: STAR Sohel Parvez

The government moves to restructure the long-overlooked Department of Agricultural Marketing (DAM) in a bid to benefit the farmers and consumers by ensuring fair prices of farm produces. The restructuring also aims to provide data to the government on demand and supply situation of farm produces and prices, so that policymakers can take decisions to cut supply related uncertainties. The DAM, after revitalization, is expected to work on forecasts on internal crop productions, and analyse domestic and international price trends. It will work on forming farmers' marketing groups, encouraging contract farming and establishing a direct linkage between farmers, exporters, wholesalers and superstores to reduce the intermediaries in the supply chain, officials said.

"We want give a fresh lease of life to the DAM for the benefit of both the farmers and consumers," said CQK Mustaq Ahmed, secretary to the agriculture ministry. The government initiative to bring dynamism in the DAM comes at a time when productions and investments in farming and agribusinesses are on the rise. Despite a rise in production, the farmers do not get fair prices due to a lack of market linkage and price information. But the consumers need to pay high due to a number of intermediaries in the supply chain. The officials said the DAM was supposed to help the farmers get market linkage for their produces but it fails to deliver as there is a lack of manpower and resources. The DAM, governed by a 45-year-old law, has only 455 posts with only 30 first-class officials. The main function of the DAM is limited to regulating 717 out of 18,000 markets and collecting price information from those.

It can not provide data on production, supply, demand and stock situation of the farm produces although such information is vital to ensure adequate supplies to curb the unusual fluctuation in prices. "The DAM is an ineffective and redundant organisation," said the secretary. To make the agency effective, the government last year formed a committee, headed by Bangladesh Agricultural University Vice Chancellor Abdus Sattar

Mandal. The committee, by reviewing the present activities of the DAM and its mandate, recommended various functions for the agency, including making projections on production, demand and supply. The committee suggested the government employ 3,420 workforces at the restructured agency and name it as department of agricultural marketing and agribusiness.

The officials said the suggestions will be implemented in phases, although there are skepticisms that the recommendations of the committee will bear the same fate like those from the past eight committees. Ahmed said restructuring the DAM might take time as it will increase the government's investments and requires enactment of a new law. "But we will start by the end of the year, even if it is on a limited scale," he said.

Source: The Daily Star, March 16, 2011

Questions

1. How department of agricultural marketing works?
2. What is the expectation of department of agricultural marketing after revitalization?
3. Is the department of agricultural marketing an effective and redundant organization? Why or why not?

Case Study-2

Far East Knitting holds road show for IPO

Far East Knitting and Dyeing Industries Ltd, a Gazipur-based garment company, is set for the stockmarket to raise Tk 150 crore from investors to expand operations.

The company held a roadshow at Dhaka Sheraton Hotel yesterday for price discovery under the newly introduced book-building method.

Managing Director of Far East Knitting and Dyeing Asif Moyeen said the face value of each share has been fixed at Tk 10 and the proposed premium at Tk 40. "We will offload three crore ordinary shares to raise the amount," Moyeen said. Of the total fund, Tk 80 crore would be spent on establishing a spinning mill at Nohati, 124 kilometres north-east of Dhaka on Dhaka-Sylhet highway under Habiganj district, Moyeen said.

"I have a target to go into production at a 26,000 spindles capacity spinning mill within October 2012," he said.

The company will spend Tk 30 crore on expansion of units such as printing, embroidery and dyeing. The rest of the money will go into paying off the company's liabilities.

The company established in 1994 has exported garment items worth Tk 130 crore in fiscal 2009-10, the company managing director said. Moyeen said his company sends 65 of his products to UK's Tesco, Newlook, Kevinham and Mackay. Monoprix and Promode, two brands of France, import 25 percent of his products. The paid-up capital of the company is

